

Shareholding Disclosure

Argentina

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A. Substantial Shareholding

1. Overview

1.1 General Disclosure Obligation

The substantial shareholding disclosure regime in Argentina is triggered in different situations:

(a) **Disclosure obligation applicable to any person generally (other than controlling shareholder)**

When a person, directly or indirectly, or acting together with (an) other person(s),

- (i) acquires or sells securities¹ of a public issuer or acquires a put or call option on any such securities;
- (ii) changes its direct or indirect holding in a public issuer²;
- (iii) converts its debt securities of a public issuer into shares of such public issuer;
- (iv) exercises a put or call option in connection with securities of a public issuer; or
- (v) changes its intention in connection with its holding in a public issuer³.

to the extent that any such transaction involves 5% or more of the total voting rights in such public issuer (regardless of such transaction effectively granting voting rights at such time).

General Resolution 1035/2024 which was issued by the CNV and published in the Official Gazette on 5th December 2024 now requires that once the initial threshold of 5% is met, changes in shareholding must only be reported when they reach multiples of that value (for example 10%, 15%, 20% or multiples of 5% until becoming a controlling shareholder⁴).

If such person becomes the controlling shareholder of a public issuer, these disclosure obligations related to a threshold cease and separate obligations arise in connection with such person becoming the controlling shareholder of the public issuer⁵.

¹ Includes any negotiable securities, such as shares, debt instruments, etc.

² Disclosure required in the case of a change in a **direct holding**: e.g. If someone (A) acquires voting shares of a public issuer (B) representing the disclosure threshold, such transaction is subject to disclosure by A.

Disclosure required in the case of a change in an **indirect holding**: e.g. If someone (A) sells its shares of a company (B) which is a shareholder of a public issuer (C) and, as a result, the indirect interest of A in C falls below 5% or more of such indirect interest in C, such transaction is subject to disclosure by A. Note that the Argentine securities regulation does not require that A has control over B in order to trigger the obligation to disclose the change on the holding of securities. Such regulation states that it is necessary to have an indirect holding.

³ Section 12 of Chapter I, Title XII of the CNV Rules.

⁴ Section 2 of the Capital Markets Law (as defined below), controlling person is defined as “A natural person or legal entity holding, whether directly or indirectly, and individually or collectively, as the case may be, under any title, an equity interest or voting securities conferring such holder, legally or de facto, and if de facto on a permanent basis, the right to cast the number of votes required to establish corporate policy at regular shareholders’ meetings or to appoint or revoke the appointment of a majority of directors or members of the surveillance committee”.

⁵ Section 99(g) of the Law 26,831 (the “**Capital Markets Law**”), as supplemented by Section 12, Chapter I, Title XII of CNV’s Rules.

Previously CNV Rules (as defined below) provided that a disclosure was required every time there was any change on the respective holding already informed regardless of the percentage (i.e. even if it was 0.1% change in holding).

In light of the above, the substantial shareholding regime centres on holding relevant interests in securities of a public company and so cash-settled equity derivatives are not caught by the regime. Holdings of convertible debt securities need to be disclosed at the time of conversion and physically-settled equity derivatives (i.e. options) need to be disclosed on the acquisition or sale of the option and also at the time of exercise.

The substantial shareholding disclosure rules apply to securities of the above issuers which are authorized by the regulator, the *Comisión Nacional de Valores*⁶ (the “CNV”) for their public offer in Argentina, regardless of the market on which they are listed or traded.

(b) Disclosure obligation applicable to any person affecting the controlling stake of a public issuer

There is a general requirement that any person that purchases or sells any type or number of shares in a public issuer and such transaction leads to a change in the stake held by the controlling group or groups, thus modifying the ownership structure of the public issuer, must make a disclosure to the CNV⁷.

(c) Disclosure obligation applicable to public issuer’s members and controlling shareholders

The members of the board of directors, managers appointed pursuant to Section 270 of Law No. 19,550, as amended from time to time (the “Argentine General Corporations Law”), members of the surveillance committee⁸ and controlling shareholders of a public company⁹ shall disclose the amount of publicly offered shares or debt securities (including convertible debt securities) and any put or call options on shares or debt securities (including convertible debt securities) that they hold or, as the case may be, manage, directly or indirectly, in such public company¹⁰. Such disclosure obligation reaches those persons above-mentioned, who do not have direct or indirect holding of securities of the public company. The CNV is empowered to extend this disclosure obligation to other officers from the economic group, in those cases in which the CNV deems necessary¹¹.

(d) Disclosure obligation applicable to rating agencies, regulators and others

Reporting requirements similar to those described in c) above apply to members of the rating committee, board of directors, managers, members of the surveillance committee and employees of risk rating agencies with respect to securities, or options (call and put) involving securities, of public issuers¹². Also, reporting requirements apply to members of the board of directors, and

⁶ *Comisión Nacional de Valores*, the Argentine securities commission (the “CNV” by its Spanish acronym), is a national entity separate from the Federal Government with jurisdiction covering the entire territory of the Argentine Republic. The CNV supervises companies authorized to issue and offer securities to the public in Argentina, the trading of securities (whether or not such securities are issued in Argentina) in the Argentine secondary market, and all persons, agents and entities involved in any capacity in the public offering of securities and secondary market transactions involving securities.

⁷ Section 99 (j) of the Capital Markets Law.

⁸ Section 99 (c) of the Capital Markets Law, as supplemented by Section 7 Chapter I, Title XII of the CNV Rules.

⁹ “Controlling company or controlling group” of a public issuer is defined in Section 2 of the Capital Markets Law as any individual or legal entity which holds, either directly or indirectly, individually or jointly, as the case may be, an interest in the capital stock or securities which grant the votes that are required to prevail in the company’s decisions at ordinary shareholders meetings, or to appoint or remove a majority of the members of the board of directors or surveillance committee of such public issuer.

¹⁰ Section 99 (j) of the Capital Markets Law as supplemented by Section 7, Chapter I, Title XII of the CNV Rules.

¹¹ Section 7, Chapter I, Title XII of the CNV Rules.

¹² Section 99 (d) of the Capital Markets Law, as supplemented by Section 11, Chapter I, Title XII of the CNV Rules.

certain officers and employees of the securities' regulatory authorities, markets and others registered agents (such as *Caja de Valores S.A.*)¹³.

(e) **Disclosure of material facts by the public issuer**

The members of the board of directors and surveillance committee of a public issuer must disclose any changes in the shareholding of the public issuer affecting the composition of the controlling group as a material fact (*hecho relevante*)¹⁴.

All of the above disclosures must be made to the CNV and also to any market where the affected securities are listed or traded.

The disclosure regime applies to any issuer legally entitled to issue securities of any kind and offer them to the public in Argentina.

Under Argentine law, issuers are not permitted to impose different or lower thresholds in their articles of incorporation or by-laws.

(f) **Disclosure obligation applicable to the public issuer regarding information from shareholders and partners**

Pursuant to the CNV Rules which entered into effect on 9 September 2013, after the publication of Resolution No. 622/2013 issued by the CNV in the Official Gazette of the Argentine Republic, as amended from time to time (the "CNV Rules"), a public issuer, authorized by the CNV to make public offers in Argentina, regardless of the market on which it is listed or traded has the obligation to file the name and domicile of the shareholders or partners that hold 5% or more of its capital stock, in decreasing order according to their equity percentages, and specifying, if applicable, their corporate type or functional equivalent and their nationality with the CNV¹⁵. In order for a public issuer to fulfil its reporting obligation, the shareholders have to provide the information to the issuer. The shareholders have an obligation to provide the information and documentation described in the following paragraph to the issuer, in order to comply with the CNV Rules and also inform the issuer whenever there is a change of shareholder or partner. It would be advisable to provide said information to the issuer, as soon as practicable, if the shareholder has not yet complied with its disclosure obligation. In general, the documentation and information has to be given to the issuer in hard copies. If the shares are held through other legal entities, the information which shareholders shall give to the public issuer should allow the CNV to identify the ultimate owner and/or beneficiary of such interests. The requirement for shareholders to report to the public issuer is in addition to the general disclosure obligation the shareholders are under when they reach a 5% holding threshold, as set out in Section A.1.1(a) herein.

Foreign shareholders that are organized or registered in jurisdictions other than Argentina must include below-listed information in their notification to the public issuer. There is no standard form provided by the CNV to comply with the requirements of information provided in the CNV Rules.

¹³ Section 99 (e) of the Capital Markets Law, as supplemented by Section 11, Chapter I, Title XII of the CNV Rules.

¹⁴ Section 99 (a) of the Capital Markets Law, as supplemented by Section 3(21), Chapter I, Title XII of the CNV Rules and, if applicable due to listing therein, Section 23, Chapter XI of the Listing Rules of the Argentine Stock Exchange and Markets S.A. (BYMA).

¹⁵ Section 5 of Chapter V, Title II of the CNV Rules.

- (i) Articles or deed of incorporation and/or corporate bylaws and amendments thereto. In the event a foreign legal entity manages third-party assets, the documents evidencing the creation of the assets under management identifying all the parties involved must be filed. The CNV Rules do not mention that the management agreements must be filed, but the CNV might request any documentation evidencing the creation of the assets under management. This provision also applies where third-party assets are managed by a physical person.
- (ii) Names of the members of the board of directors and surveillance committee of the shareholder entity.
- (iii) Composition and amount of the capital stock and/or net worth of the shareholder, specifying in detail the ultimate holders of the shares and/or interests.
- (iv) Affidavit declaring that the shareholder is not subject to any restriction or legal prohibition to carry out business in its place of incorporation or registration, according to its corporate purpose.
- (v) Affidavit declaring that the shareholder has fixed assets in the place of incorporation or registration of the company or other functional equivalent that holds the shares, and/or affidavit declaring that the shareholder has non-current assets in other companies. If the shareholder has any fixed assets, the assets classified as such must be identified. The extent of the information regarding the other assets should be determined by the respective certified accountant, in order to comply with the identification of assets which may be classified as “fixed assets”.
- (vi) Affidavit declaring that the shareholder has legal capacity to sue and to enter into contracts or other juridical acts.
- (vii) Approved financial statements of the company for the last three fiscal years, as required by CNV Rules.¹⁶

The documents required under this paragraph shall be filed in compliance with the legal authentication requirements of the country of origin (e.g. stamped by a notary or any other authentication requested in the country of origin of the shareholder), including legalisation by means of the Hague Apostille in the case of entities organized and/or registered in countries adhering to “The Hague Convention of 1961 Abolishing the Requirement of Legalisation for Foreign Public Documents” or legalised by the Ministry of Foreign Affairs, Trade and Worship and translated into Spanish, if in another language, by a certified sworn translator, with signature certified by the relevant professional association or entity.

The public issuer has to comply with Section A.1.1(f) whenever there is a change of shareholder or partner, too. This means that any time an entity becomes a new shareholder of a public issuer and holds 5% or more, it must supply this information to the issuer so the issuer can fulfil its reporting obligation to CNV, in order to comply with the CNV Rules. There is no ongoing obligation on the shareholder to inform the public issuer, when there is a change of its percentage shareholding.

¹⁶ Approved financial statements for the last three years of the company, resulting in application, as appropriate, the provisions of Section 6, Chapter V, Title II of the CNV Rules provides that the financial statements of the last three fiscal years to be filed by the shareholder or partner shall be the same financial statements that were filed with the regulatory body of said shareholder or partner.

If there are changes to the beneficial owners of the shareholders on any other information already given in Section A.1.1(f)(i) – (vii), there is no ongoing obligation on the shareholder to inform the public issuer.

A domestic shareholder has to give to the issuer the information and documentation above-mentioned in Section A.1.1(f).

1.2 Exemptions

There are no exemptions to the substantial shareholding disclosure regime.

1.3 Aggregation

Holdings of all companies within the same group structure and affiliates and related persons need to be aggregated with the holdings of a person, irrespective of whether they are a substantial shareholder or one of the people listed as subject to the above disclosure obligations.¹⁷ See Section A.4 of this Memorandum for more details.

1.4 Timing of Notifications

For Section A.1.1(a), disclosure must be made within **10 business days** after the occurrence of the event involving 5% or more of the voting rights of the applicable issuer and when they reach multiples of that value (for example 10%, 15%, 20% or multiples of 5% until becoming a controlling shareholder) Previously disclosure had to be made ‘immediately’ after the occurrence of the disclosable event until such person became the controlling shareholder of the public issuer...

For Section A.1.1(b), a change of control must be disclosed the day following the transaction resulting in them becoming the controlling shareholders¹⁸.

For Section A.1.1(c) the initial disclosure must be made within ten (10) business days of them taking office and, in the case of controlling shareholders –while keep such condition–, the day following the transaction resulting in them becoming the controlling shareholders.¹⁹ Every such disclosure must be updated within the first fifteen (15) days of each month. Except in the case of controlling shareholders, the monthly updates must be continued for the six months subsequent to their ceasing in the applicable position.²⁰

The same rules mentioned in the case of Sections A.1.1(a) apply to A.1.1(d).

For Section A.1.1(e), disclosure should be made (i) immediately after the occurrence of the relevant event or of such persons becoming aware of the same; and (ii) any time a new 5% shareholder joins the issuer and each time there are changes in holding until such person becomes the controlling shareholder.

¹⁷ The concept of “aggregation” is implicit under Section 99 (j) of the Capital Markets Law, as supplemented by Section 12, Chapter I, Title XII of the CNV Rules.

¹⁸ Section 8, Chapter I, Title XII of the CNV Rules.

¹⁹ Section 8, Chapter I, Title XII of the CNV Rules.

²⁰ Section 8, Chapter I, Title XII of the CNV Rules.

For Section A.1.1(f), disclosure should have been made once and thereafter whenever there is a change of shareholder or partner²¹ holding 5% or more of the capital stock of a public issuer, the relevant information should be disclosed to the issuer as soon as practicable.

1.5 Sanctions for Non-Compliance

The mere non-compliance of the substantial shareholder requirements is not a criminal offence. Non-compliance of the substantial shareholding disclosing requirements may result in the imposition of any of the sanctions contemplated in the public offering laws and regulation²², apart from any other applicable civil law remedies (i.e. claim for damages).

The sanctions contemplated under the Capital Markets Law include (i) warnings, to which the CNV may add the obligation to publish the resolution issued by the Board of Directors of the CNV in the Official Gazette of the Republic of Argentina and in two newspapers at the cost of the defendant, (ii) fines ranging from Argentine Pesos 100,000 to Argentine Pesos 100,000,000, which may be raised to up to 5 times the amount of the benefit obtained or damage caused as a consequence of the illegal action, (iii) suspension for up to 5 years from performing duties as members of board of directors, managers, members of the surveillance committee, certified chartered accountant, external auditors, managers of markets and registered agents or from any other entity under supervision of the CNV, (iii) suspension for up to 2 years from conducting public offers of securities or acting within the public offer regime of securities, and (iv) prohibition from conducting public offers of securities or acting within the public offer regime. Such sanctions are imposed by the CNV and may be appealed before the applicable judicial courts. The CNV will impose any such sanction based on the damage caused to the market, the relevance of the infringement, the benefit obtained or damage caused, the trading volume of the infractor, the behaviour of the respective responsible officers and the imposition of previous sanctions. The amounts corresponding to the fines applied must be paid within five (5) days counting the decision that imposed them became enforceable. The proceeds coming from the fines applied by the CNV will be transferred to the Argentine National Treasury (*Tesoro Nacional*).

For the purposes of setting the above-described penalties, the CNV shall take into special account the following criteria: the extent of the infringement, the benefits obtained or damages caused by the offender, the offender's operating volume, the individual performance of the members of the administrative and surveillance bodies, and their relation to the control group, especially, the independent or external nature of the members of said bodies. In the case of legal entities, directors, administrators, receivers or members of the supervisory board and, where appropriate, managers and members of the rating board shall be jointly and severally liable regarding those who have been individually liable for committing said punishable offences²³. Please, note that the CNV has conducted administrative proceedings for alleged non-compliance of the substantial shareholding disclosure obligations mentioned in A.1.1 above, including in connection with the obligation imposed on controlling shareholders and on interests reaching the 5% threshold. From the proceedings resolved as of the date hereof, we have only identified sanctions imposed consisting of a warning.

²¹ The CNV Rules identify shareholders or partners. Under Argentine law, a shareholder may be represented by a corporation, while a partner may be represented by a limited partnership. Therefore, a limited partnership cannot be considered as shareholders.

²² Section 132 of the Capital Markets Law.

²³ Section 133 of the Capital Markets Law.

1.6 Source of Law

1.6.1 Current sources

- Capital Markets Law (Law No. 26,831, as amended).
- CNV Rules, Chapter I, Title XII, Sections 2 and 3 (disclosure of relevant events), Chapter I, Title XII, Sections 7, 8, 11 and 12 (substantial shareholding disclosure).
- Listing Rules of Bolsas y Mercados Argentinos S.A., the Buenos Aires Stock Exchange (BYMA by its Spanish acronym), Section 23 (disclosure of material facts).
- Argentine General Corporations Law (Law No. 19.550).
- Law No. 25,750
- Argentine Constitution (Law No. 24.430)
- Investments (Law No. 21,382)
- Argentine Aviation Code (Law No. 17.285)

1.6.2 Upcoming changes

We are not aware of any published upcoming changes to the substantial shareholding disclosure rules described in this section A. Note that changes may not always involve prior consultation and the regulator may publish new or updated guidance at any time.

2. Issuers and Markets

2.1 Issuers

2.1.1 Definition

The Argentine securities laws and regulations do not contain a definition of “issuer” or “public issuer”. However, any person who is legally entitled to issue securities of any kind and offer them to the public in Argentina shall be deemed a “public issuer” under Argentine law, as such term is used in this Memorandum.

“Public offering”²⁴ is defined as the invitation to the general public or to specific groups of persons (either individuals or legal entities) in Argentina, to participate in any type of transaction involving “securities”, whether made by the issuer of such securities, the holders of the securities or by individuals or entities that are dedicated exclusively or non-exclusively to trading in securities, by means of personal offerings (e.g. newspapers, magazines, etc.), radio, telephone or television transmissions, cinema projections,

²⁴ By means of Productive Financing Law No. 27,440, dated May 17, 2008, the definition of “Public Offering” set forth by Capital Markets Law was modified.

posting or signs, pamphlets, communications or any other means of diffusion, electronic means, including emails and social media, circulars and written communications or any other broadcasting proceeding²⁵.

The Capital Markets Law defines “securities”²⁶ as any securities issued, both, in certificated and book-entry form, including, in particular, any negotiable instruments or instruments evidencing claims, shares of stock, mutual investment fund quotas, debt securities or certificates of participation in financial trusts or other collective investment vehicles, and in general any homogeneous and exchangeable securities or investment agreements or receivable instruments, issued or grouped in series, which may be traded in the same manner as and with effects similar to securities; and which, on account of their nature and transfer requirements, may be traded on a general and impersonal basis on financial markets. The term securities, furthermore, includes futures, options and derivative contracts in general registered pursuant to regulations from the CNV, deferred payment checks, admissible time deposit certificates, invoice payment commitments, certificates of deposit and stock warrants, promissory notes, mortgage notes, bills of exchange and any other securities admitted to trading in secondary markets.

In addition, please take into account that the CNV is empowered to include other types of financial instruments, which may be publicly offered, and may issue rules establishing and regulating specific cases according to which it is considered that an offer of securities does not constitute a public offer but a private one²⁷.

2.1.2 Foreign issuers

There is no difference in the rules for foreign issuers and locally incorporated issuers as regards substantial shareholding disclosure obligations.

2.1.3 Excluded issuers

Once an issuer falls within the above concept of “issuer” or “public issuer”, there are no excluded classes of issuers as regards substantial shareholding disclosure obligations.

2.2 Markets

The substantial shareholding disclosure rules apply to securities of the above issuers which are authorized by the CNV for their public offer in Argentina, regardless of the market on which they are listed or traded.

2.3 Mutual Recognition

2.3.1 Mutual recognition means that a jurisdiction regards the rules of another jurisdiction as being sufficient disclosure so that it is not necessary to comply with the rules of the first jurisdiction.

2.3.2 There are no provisions under Argentine securities laws and regulation for recognition of the rules of any other jurisdiction displacing the rules applicable in Argentina in connection with substantial shareholding disclosure obligations.

²⁵ Section 2 of the Capital Markets Law.

²⁶ Section 2 of the Capital Markets Law.

²⁷ Section 82 of the Capital Markets Law.

3. Disclosure Thresholds

3.1 Thresholds

3.1.1 General thresholds

When a person, directly or indirectly, or acting together with (an) other person(s),

- (i) acquires or sells securities of a public issuer or acquires a put or call option on any such securities;
- (ii) changes its direct or indirect holding in a public issuer²⁸;
- (iii) converts its debt securities of a public issuer into shares of such public issuer;
- (iv) exercises a put or call option in connection with securities of a public issuer; or
- (v) changes its intention in connection with its holding in a public issuer²⁹.

to the extent any such transaction involves 5% or more of the total voting rights in such a public issuer (regardless of whether the acquirer can exercise the voting rights at such time).

Subsequent disclosures are required each time there are any subsequent changes reaching multiples of 5% in holdings until such person becomes the controlling shareholder³⁰ of the public issuer. Hence, a disclosure is required every time there is a change on the respective holding (decrease or increase) of multiples of 5%³¹. If such person becomes the controlling shareholder of a public issuer, these disclosure obligations related to a threshold cease and separate obligations arise in connection with such person becoming the controlling shareholder of the public issuer³².

In light of the above, the substantial shareholding regime centres on holding legal title to securities of a public company and so cash-settled equity derivatives are not caught by the regime. Holdings of convertible debt securities need to be disclosed at the time of conversion and physically-settled equity derivatives (i.e. options) need to be disclosed on the acquisition or sale of the option and also at the time of exercise.

When a person ceases to hold 5% of the total voting rights in a public issuer a disclosure will be required (since the person has dropped through the 5% threshold).

When a person or legal entity holds, directly or indirectly, more than 5% of the total voting rights in a public issuer, it shall deliver the information referred in Section A.1.1(f) to the issuer, in addition to its disclosure requirements set out in this section A.3.1.1 under the Capital Markets Law (as supplemented

²⁸ Please, see Section A.1.1(a)(ii) and footnote thereto

²⁹ Section 12, e) 6), Chapter I, Title XII of the CNV Rules states that “the intention of the individuals or corporations, who directly or indirectly, integrates the shareholding participation, with respect thereto (for instance, acquire a greater holding, reach the control of the issuer, sale the holding, partly or full)

³⁰ Section 2 of the Capital Markets Law (as defined below), controlling person is defined as “A natural person or legal entity holding, whether directly or indirectly, and individually or collectively, as the case may be, under any title, an equity interest or voting securities conferring such holder, legally or de facto, and if de facto on a permanent basis, the right to cast the number of votes required to establish corporate policy at regular shareholders’ meetings or to appoint or revoke the appointment of a majority of directors or members of the surveillance committee

³¹ By virtue of General Resolution 1035/2024 issued by CNV on December 5, 2024, the CNV changed the parameter for reporting subsequent disclosures, which triggered the disclosure obligation every time a change on the respective holding occurred, regardless of the percentage (i.e. even if it were 0.1% change in holding).

³² Section 99 (g) of the Capital Markets Law (as defined below), as supplemented by Section 12, Chapter I, Title XII of the CNV Rules.

by Chapter I, Title XII of the CNV Rules). Such information shall be filed with the CNV, through the public issuer. See Section A.1.1(f) for further details.

3.1.2 Special thresholds

(a) **Disclosure obligation applicable to any person affecting the controlling stake of a public issuer**

There is a general requirement that any person who purchases or sells any type or number of shares in a public issuer which leads to a change in the stake held by the controlling group or groups, thus affecting the ownership structure of the public issuer, must make a disclosure to the CNV³³.

(b) **Disclosure obligation applicable to public issuer's members and controlling shareholders**

The members of the board of directors, managers, members of the surveillance committee and controlling shareholders of a public company³⁴ shall disclose the amount of publicly offered shares or debt securities (including convertible debt securities) and any put or call options on shares or debt securities (including convertible debt securities) that they hold irrespective of the total voting rights held in a public issuer or, as the case may be, manage, directly or indirectly, in such public company³⁵.

(c) **Disclosure obligation applicable to rating agencies, regulators and others**

Reporting requirements similar to those described in b) above apply to members of the rating committee, board of directors, managers, members of the surveillance committee and employees of risk rating agencies with respect to securities, or options involving securities, of public issuers³⁶. Also, reporting requirements apply to members of the board of directors, and certain officers and employees of the securities' regulatory authorities, markets authorized by the CNV³⁷ and central depository organizations (e.g. *Caja de Valores S.A.*).

(d) **Disclosure of material facts by the public issuer**

The members of the board of directors and surveillance committee of a public issuer must disclose as a material fact (*hecho relevante*) any changes in the shareholding of the public issuer affecting the composition of the controlling group³⁸.

All of the above disclosures must be made to the CNV³⁹ and also to any market where the affected securities are listed or traded. In the event where the securities are not listed in any market (i.e.

³³ Section 99 (j) of the Capital Markets Law. For more information see Section C. herein,

³⁴ "Controlling company or controlling group" of a public issuer is defined in Section 2 of the Capital Markets Law as any individual or legal entity which holds, either directly or indirectly, individually or jointly, as the case may be, an interest in the capital stock or securities which grant the votes that are required to prevail in the company's decisions at shareholders meetings (e.g representing 50% of the voting rights), or to appoint or remove a majority of the members of the board of directors or surveillance committee of such public issuer.

³⁵ Section 99 (j) of the Capital Markets Law as supplemented by Section 7, Chapter I, Title XII of the CNV Rules.

³⁶ Section 99(d) of the Capital Markets Law as supplemented by Section 11, Chapter I, Title XII of the CNV Rules.

³⁷ Section 2 of the Capital Markets Law defined "Markets" as corporations authorized by the CNV to act for the organization of transactions involving securities authorized for public offering, any activities related and supplementary thereto and capable of furthering such purpose also being under the jurisdiction of the CNV.

³⁸ Section 99 (a) of the Capital Markets Law, as supplemented by Section 3(21), Chapter I, Title XII of the CNV Rules and, if applicable due to listing therein, Section 23 of the Listing Rules of the BYMA.

³⁹ *Comisión Nacional de Valores*, the Argentine securities commission (CNV), is a national entity separate from the Federal government with jurisdiction covering the entire territory of the Argentine Republic. The CNV supervises companies authorized to issue and offer securities to the public in Argentina,

any market authorized by the CNV), the communication of the disclosure shall be understood to be fulfilled by the publication for one day in a newspaper of wide national circulation. The person making said publication shall file with the CNV a copy of said publication. The regulation is silent regarding the period of time for making this filing.

(e) **Disclosure obligation applicable to markets**

Reporting requirements similar to those described in 3.1.1 above apply to those holding equity percentage from 2% of markets and each time there are changes in holding already informed. See Section B below for more details.

3.1.3 Freezes on holdings

There are no automatic freezes on increasing holdings for a prescribed period if a disclosure threshold is crossed.

3.2 Types of Disclosure

3.2.1 Disclosure of classes of shares and aggregate of classes

If there are separate classes of shares granting voting rights, disclosure is required taking into account the total number of voting rights held aggregated across all classes of shares, whenever the aggregated holding of an interest is equal to or exceeds 5%. The regulation is not clear in this regard and we are not aware of any precedents discussing the obligation to include preference shares in the above calculation. Based on an informal response received from CNV officers in charge of monitoring substantial shareholding disclosure obligations, the CNV is of the opinion that preference shares should be included in such calculation, so long as they potentially grant voting rights under certain circumstances or grant them in certain cases.

3.2.2 Disclosure of changes to non-threshold information

Except for such information that otherwise has to be disclosed as mentioned in A.1.1(b) to (e) above (which does not depend on any threshold), it is not required to disclose any changes to the threshold already informed, unless a new threshold is reached.

3.2.3 Intra-day disclosure

Since the regulation is silent on the matter and the principle is that disclosure must be made 10 business after the occurrence of the event involving 5% or more of the voting rights of the applicable issuer, all shareholding positions which exceed the 5% threshold or represent a 5% change in a shareholding position during a day must be disclosed, regardless of the time of day of the transaction and regardless of how transient the position is. Similar information must be provided each time there are changes in holding already informed until such person becomes the controlling shareholder of the public issuer. Hence, a disclosure is required every time there is any change on the respective holding regardless of the percentage (i.e. even if it is 5% change in holding)

the trading of securities (whether or not such securities are issued in Argentina) in the Argentine secondary market, and all persons and entities involved in any capacity in the public offering of securities and secondary market transactions involving securities.

3.3 Calculation of Disclosure Thresholds

3.3.1 The formula

The formula for the calculation for the disclosure thresholds is:

$$\text{Threshold \%} = \frac{\text{Numerator}}{\text{Denominator}} \times 100$$

3.3.2 What is included in the numerator?

The numerator comprises the holder's total holding of securities granting voting rights or the option to acquire or sell such securities, aggregated with the holdings of other relevant entities if required by the aggregation rules.

(a) **Should holdings held in the following capacities be included in the numerator?**

Except in the case of (i) below, where the response clearly arises from the provisions of the law and regulation, the remaining cases discussed below raise certain uncertainties. They are not specifically addressed in the regulation and the regulatory principles require a comprehensive construction, which may be based on addressing who the registered holder is and, therefore, the one entitled to exercise voting rights in a public issuer, and also on CNV precedents.

(i) Principal/proprietary:

Proprietary holdings are included within the numerator.

(ii) Custodian:

Based on an adequate construction of the regulation, the obligation to report a substantial holding is imposed only on the person who acquires or loses voting rights reaching the threshold.

In a request for clarification filed with the CNV, where a custodian became the registered holder of shares of a public company in circumstances where such custodian was not entitled to exercise voting rights over such shares, the CNV opined that the obligation to disclose should not be complied by the custodian but by the beneficial holder having an interest in the shares, which would in all cases provide voting instructions to the custodian.

If the custodian becomes the registered holder of shares reaching the threshold and has discretion to vote without the need to receive any voting instructions from its clients, it is reasonable to construe that such custodian would be the one obliged to comply with the disclosure obligation.

(iii) Nominee:

Due to the fact that the role of a nominee is similar to that of a custodian and based on the CNV opinion referred to in A.3.3.2(a)(ii), it may be construed that an entity which holds securities as non-discretionary nominee would not have to comply with disclosure

requirements. However, as of the date hereof we are of the opinion that this exception is applicable only to custodians as discussed in A.3.3.2(a)(ix) and A.3.3.2(a)(x).

If a discretionary nominee becomes the registered holder of securities reaching the threshold and has discretion to vote without the need to receive any voting instructions from its clients, it is reasonable to construe that such discretionary nominee would be the one obliged to comply with the disclosure obligation.

(iv) Stock borrowing/lending:

Securities which are held by a registered holder in its capacity as stock borrower should be included in the numerator and there is no stock borrower exemption from disclosure requirements. Those securities transferred under a stock lending transaction would not need to be included in the calculation of the numerator by the stock lender.

(v) Collateral taker:

Outright transfer: Assuming the collateral is in the form of an outright transfer of securities to the collateral taker, the collateral taker will have full ownership of the securities for as long as it holds the collateral. Therefore, the collateralised securities should be included in the collateral taker's numerator.

Please note, if the collateral taker does not have legal title to the shares, and only has legal lien over the shares, such shares would not have to be included in the numerator.

Security interest: Where the collateral is in the form of a security interest such as a pledge which is the only way to collateralize securities under the Argentine Law, the collateral taker should not include the securities in its numerator⁴⁰.

There is no exemption for any person who holds collateral by way of security in the ordinary course of business.

(vi) Collateral giver:

Outright transfer: Assuming the collateral is in the form of an outright transfer of securities to the collateral taker (and not a security interest such as a mortgage, charge or pledge), the collateral giver will pass full ownership of the legal title to shares to the collateral taker for as long as the latter holds the collateral. The collateral giver, therefore, must exclude those shares from the numerator (i.e. collateral giving is treated as a disposal and reduces the numerator accordingly).

Security interest: Where the collateral is in the form of a security interest such as a mortgage, charge or pledge, the collateral giver should continue to include the securities in its numerator even if the collateral giver has granted the collateral taker discretion to exercise the voting rights attached to shares without specific instructions from the collateral giver.

⁴⁰ According to section 219 of the Argentine General Corporations Law, in the event of the constitution of a pledge over shares, the exercise of the rights, including the voting rights correspond to the owner of the shares.

(vii) Rights of Use (right not exercised):

Securities over which a person has a right of use not yet exercised would not need to be included in the numerator, as the person does not have legal title to the shares, merely a contractual right to use the shares in the future.

(viii) Rights of Use (right exercised):

Securities over which a person has exercised a right of use should be included in the numerator, so long as title transfer is made in favour of such person and regardless of him/her/it exercising such right of use.

If legal title is not passed, those holdings do not need to be included.

(ix) Investment manager:

Securities to which the investment manager has legal title should be included in the numerator and there is no investment manager exemption from the disclosure requirements. If the investment manager does not have legal title to the shares, there is no need to include, even if the investment manager has full discretion over the voting rights and disposition of the shares, unless the securities are held by a custodian and the investment manager issues voting instructions to the custodian (please refer to the Appendix 1 (*Aggregation and Disclosure of Discretionary Managed Holdings*) for further details)⁴¹.

(x) Fund manager:

Securities to which the fund manager has legal title should be included in the numerator and there is no fund manager exemption from disclosure requirements. If the fund manager does not have legal title to the shares, there is no need to include, even if the fund manager has full discretion over the voting and disposition of the shares, unless the securities are held by a custodian and the fund manager issues voting instructions to the custodian (please refer to the Appendix 1 (*Aggregation and Disclosure of Discretionary Managed Holdings*) for further details)⁴².

(b) **What is the treatment of convertible securities?**

- (i) Convertible securities (where the underlying equity shares into which the convertible will convert are not yet in issue) in general are excluded from the statutory disclosure regime (and therefore ignored for the purposes of calculating the numerator) until the point where conversion has occurred and the shareholder has a relevant interest in voting shares. The holding of shares resulting from the convertible debt securities should be included in the numerator only when conversion is exercised.

⁴¹ This exception (the general principle is that disclosure requirements will be triggered when investment managers / fund managers directly holds 5%), arise from a request for clarification filed with the CNV that establishes where a custodian became the registered holder of the securities, and therefore holds legal title to the securities, of a public company in circumstances where such custodian was not entitled to exercise voting rights over such shares the obligation to disclose should not be complied by the custodian but by the beneficial holder having an interest in the shares, i.e. the person who would in all cases provide voting instructions to the custodian. Please bear in mind that the cases discussed on A.3.3.2(a)(ix)) and A.3.3.2(a)(x) above raise certain uncertainties because they are not specifically addressed in the regulation and the regulatory principles require a comprehensive construction, which may be based on addressing who the registered holder is and, therefore, the one entitled to exercise voting rights in a public issuer, and also on CNV precedents. It is possible that this exception could be applied, after a comprehensive construction and interpretation, to similar cases e.g. if the Investment Manager has voting control and a third party (other than a custodian) holds legal title. However, as the date hereof we are of the opinion that this exception is applicable only to the scenarios discussed on A.3.3.2(a)(ix) and A.3.3.2(a)(x).

⁴² Please see footnote 37.

- (ii) Argentine law does not expressly address substantial shareholding disclosure of exchangeables or covered warrants and, even following informal discussions with the regulator, it is unclear whether they would be considered comparable to options (in which case disclosure is required at the time of acquisition or sale) or to convertible debt securities (where disclosure is required upon conversion). Advice should be sought on a case by case basis.
- (c) **Netting of positions**
 - (i) Is the netting of positions permitted?

Netting of positions is not permitted under Argentine law and, therefore, any purchase or sale falling within the applicable threshold should be disclosed.
 - (ii) What netting is acceptable in practice?

No netting of positions is acceptable in practice. For example, if 5.3% is held via a long call option and is disclosed and then a separate call option of 3% is written (sold), notwithstanding that selling a call option can result in a threshold being crossed, no disclosure would be required. On the basis that netting is not permitted under the CNV Rules the calculable position therefore remains at 5.3% as the 3% of the call option cannot be netted by the writer of the option with the holding of 5.3% of the long call.

3.3.3 What is included in the denominator?

- (a) **Different classes of shares in issue**

Where an issuer has more than one class of share in issue, the denominator comprises the total number of voting shares only, including preference shares (which potentially grant voting rights), and excludes all other classes of shares which do not grant voting rights.
- (b) **Unissued share capital**

Argentine law does not contemplate the feature of “unissued share capital”⁴³.
- (c) **What is the treatment of convertible securities?**
 - (i) Convertible securities (where the underlying equity shares into which the convertible will convert are not yet in issue) in general are excluded from the statutory disclosure regime (and therefore ignored for the purposes of calculating the denominator) until the point where conversion has occurred and the shareholder has a relevant interest in voting shares. The holding of shares resulting from the convertible debt securities should be included in the denominator only when conversion is exercised.
 - (ii) Argentine law does not expressly address substantial shareholding disclosure of exchangeable or covered warrants and, even following informal discussions with the regulator, it is unclear whether they would be considered comparable to options and

⁴³ A convertible debt security may be validly issued in Argentina notwithstanding the fact that the concept of unissued share capital does not exist under Argentine law. Under Argentine law, the share capital of a company is only composed of the shares that have actually been issued by such company. Convertible debt securities can be validly issued and once the right to convert is exercised, the corresponding shares are issued. Please, note that, in the case of convertible debt securities, the substantial shareholding disclosure obligation arises only upon conversion and related issuance of the shares of the public issuer.

therefore included in the denominator or to convertible debt securities and therefore not included in the denominator. Advice should be sought on a case by case basis.

(d) **Are treasury shares included?**

While shares are held by the issuer in treasury, the voting rights attached to such shares are suspended and therefore treasury shares are ignored for the purposes of ascertaining the denominator.

(e) **Actions by the issuer that affect the denominator**

(i) In determining the total number of shares within the issuer, or within a class of shares of the issuer, increases or decreases in the issuer's share capital must be taken into account. Increases or decreases can occur because the issuer:

- (1) issues new shares;
- (2) buys back its own shares;
- (3) cancels some of its shares; or
- (4) changes the voting rights attached to the shares.

(ii) Shareholders are bound by changes to share capital as soon as they take place and shareholders are required to consider the then current share capital with voting right or which may grant voting rights under certain circumstances (such as preference shares) at the time of calculating whether the substantial shareholding disclosure obligations apply. A shareholder is not required to monitor changes in the share capital of an issuer to be aware of any passive changes to its threshold.

(f) **How do you ascertain the issuer's current issued capital?**

To ascertain the total share capital of a public issuer with voting rights, or which may grant voting rights under certain circumstances, shareholders can rely on the most recent quarterly financial statements of the public issuer, which are available on the CNV website - see the Useful Links section of the Rulefinder report for the website. Any modification to such information based on decisions passed at shareholders meetings of the public issuer taking place after publication of such financial statements should also be available on the CNV website. Also, the purchase or sale of a public issuer's own shares constitutes a material event to be disclosed to the market and is, therefore, also available on the CNV website.

3.4 Which Securities are Caught by the Disclosure Regime?

The analysis in this section A.3.4 presumes that the relevant securities are issued by or in respect of an in-scope issuer and a disclosure threshold has been triggered.

3.4.1 Equity voting shares

Any shares of a public issuer granting voting rights are caught by the disclosure regime. There is no specific definition of "voting shares" under Argentine law, neither are there any specific exemptions from the class of equity voting shares.

3.4.2 Limited voting rights

Under Argentine law, preference shares have limited voting rights, in the sense that they only grant voting rights under certain circumstances or in certain cases⁴⁴. The regulation is not clear and we are not aware of any precedents discussing the obligation to include preference shares in the calculation. For purposes of the substantial shareholding disclosure regime, based on an informal response received from the CNV in connection with the matter, the CNV is of the opinion that preference shares should be included in such calculation, so long as they potentially grant voting rights under certain circumstances or grant them in certain cases.

3.4.3 Multiple voting rights

If shares have multiple voting rights, then each vote is counted⁴⁵. Once an Argentine company becomes a public issuer, it may not issue new shares granting multiple voting rights.

3.4.4 Preference shares

The regulation is not clear and we are not aware of any precedents discussing the obligation to include preference shares in the above calculation. For purposes of the substantial shareholding disclosure regime, based on an informal response received from the CNV in connection with the matter, the CNV is of the opinion that preference shares should be included in such calculation, so long as they potentially grant voting rights under certain circumstances or grant them in certain cases.

3.4.5 Treasury shares

A public issuer may purchase its own shares under certain circumstances. There is no definition of “treasury shares” in the law. Treasury shares are not deemed to be caught by the legislation relating to disclosure and so do not have to be taken into account in determining the denominator for the purposes of the calculation of percentage holdings.

3.4.6 Secondary listings

(a) **Primary listing in Argentina with secondary listing in another jurisdiction**

- (i) Where an issuer's shares are caught by the Argentine disclosure rules and the issuer also lists its shares on another exchange in a different jurisdiction, the shareholding on that other exchange must be disclosed under the Argentine disclosure rules, regardless of whether or not the investor also has a shareholding on the exchange in Argentina. If the investor has holdings on both exchanges, holdings on the exchange outside Argentina must be aggregated with the holdings on the Argentine exchange for the purposes of the substantial shareholding disclosure rules in Argentina, since no distinction is made in the law as to the markets where the public issuer's shares are traded.
- (ii) Based on the rules of any foreign securities market where a secondary listing exists, on which we may not issue an opinion, substantial shareholding disclosure may also need to be made in such jurisdiction. Please refer to the Rulefinder Memorandum for the jurisdiction of the secondary listing to determine whether an additional disclosure is required there.

⁴⁴ Section 217 of the Argentine General Corporations Law.

⁴⁵ Section 216 of the Argentine General Corporations Law.

(b) **Secondary listing in Argentina**

The shares listed by the issuer in Argentina as a secondary listing will be caught by the Argentine disclosure rules.

3.4.7 Depositary receipts

(a) **Argentine issuer with depositary receipts listed in another jurisdiction**

(i) Argentine regulation does not specifically address this issue. Based on an informal response received from CNV officers in charge of monitoring substantial shareholding disclosure obligations, the CNV is of the opinion that depositary receipts of an Argentine public issuer listed in another jurisdiction should also be caught by the Argentine disclosure rules and must be disclosed under the Argentine disclosure rules for aggregation purposes, regardless of whether or not the investor also holds shares in the issuer.

(ii) If any shareholder holds ADRs in the US representing a percentage of the voting shares of an Argentine company and such shareholder also holds a percentage of the voting shares of such Argentine company listed in Argentina, he/she/it will need to aggregate its holding of the ADRs and shares. In case of the aggregated holding of the voting shares in the Argentine company of such shareholder reaches 5% of the voting rights of the Argentine company, which is the threshold provided by Argentine law for substantial shareholding disclosure purposes, the total holding must be disclosed under the Argentine substantial shareholder disclosure rules.

Due to uncertainty in the law, it would be advisable that the registered holder of the listed shares underlying the ADRs (i.e. the depositary), also complies with the Argentine substantial shareholding disclosure obligations in connection with such shares.

(iii) Based on the rules of any foreign securities market where a secondary listing exists, on which we may not issue an opinion, a separate substantial shareholding disclosure may also need to be made in the jurisdiction where the depositary receipts are listed. Please refer to the Rulefinder Memorandum for the jurisdiction of the secondary listing to determine whether an additional disclosure is required there.

(b) **Non-Argentine issuer with depositary receipts listed in Argentina**

The Argentine disclosure regime relates only to transactions giving rise to an interest in a public issuer, i.e. any company whose securities are authorized by the CNV for their public offer in Argentina. Therefore, the fact that depositary receipts are listed on a regulated market in Argentina (CEDEARs) will not in itself result in them being caught by the Argentine substantial shareholding disclosure regime.

3.4.8 Suspended shares

The disclosure obligations continue to apply even if the listing of a share is suspended, as there are no specific rules providing otherwise.

3.4.9 De-listed shares

Based on the general principles outlined in A.1.1 above, the disclosure obligations cease to apply once all shares of the issuer are permanently de-listed because the issuer of such shares conclude the procedure for withdrawal from the public offering regime and the CNV issue a resolution approving such withdrawal. Please note that (as stated in Section A.2.2 above) the disclosure obligations apply in respect of issuers admitted by the CNV to the public offering regime in Argentina, regardless of the market on which they are listed or traded.

3.4.10 Convertible preference shares

Although not specifically contemplated under Argentine law, there are no provisions that would prohibit the issuance of convertible preference shares. Such shares would have the same treatment discussed in A.3.4.4 above for preference shares in general. Therefore, disclosure is required on acquisition, to the extent the preference shares potentially grant voting rights and irrespective of whether the satisfaction or waiver of any conditions precedent to conversion is within the control of the holder.

Based on the informal opinion we received from the CNV as mentioned in A.3.4.4, additional disclosure is not required on conversion of the preference shares into full voting shares.

3.4.11 Convertible debt securities

Convertible debt securities are only caught for purposes of the calculation of substantial shareholding disclosure upon their actual conversion into shares of a public issuer, i.e. the holder should disclose the holding of shares at that point. Conversion and issue of the shares is usually simultaneous in Argentina and there are no further disclosure requirements at this stage.

3.4.12 Exchangeables

Argentine law does not expressly address substantial shareholding disclosure of exchangeables and it is unclear whether they would be assimilated to options (in which case disclosure is required at the time of acquisition or sale and on exercise but not on settlement) or to convertible debt securities (where disclosure is required only upon conversion). Advice should be sought on a case by case basis.

3.4.13 Warrants for unissued shares

Argentine law does not expressly address substantial shareholding disclosure of warrants; however, to the extent warrants for unissued shares may be considered comparable to convertible debt securities, they would likely be caught for purposes of the calculation of substantial shareholding disclosure upon the actual issuance of shares of a public issuer and not on acquisition. Advice should be sought on a case by case basis.

3.4.14 Covered warrants

Argentine law does not expressly address substantial shareholding disclosure of covered warrants and it is unclear whether they would be considered comparable to options (in which case disclosure is required at the time of acquisition or sale and on exercise but not on settlement) or to convertible debt securities (where disclosure is required only upon conversion). Advice should be sought on a case by case basis.

3.4.15 Instruments referenced to a share basket or index

Disclosure of instruments referenced to a share basket or index is not required as cash-settled derivatives are not caught by the disclosure regime. See paragraph 3.5.1 below.

This would include for example:

- (1) cash settled equity index options where one party grants to the other party (in consideration for a premium payment) the right to receive a payment equal to the amount by which an equity index either exceeds (in the case of a call) or is less than (in the case of a put) a specified strike price;
- (2) cash settled equity index swaps where the parties pay cash amounts to each other but where one party's payment is based on the performance of a basket of shares or an equity index, such as the Standard and Poor's 500 Index; and
- (3) cash settled equity index futures (exchange traded) where the parties agree to pay cash amounts to each other based on the value of a basket of shares or an equity index at a specified future date.

For the purposes of this Memorandum we assume that any such cash settled instrument referenced to a share basket or index does not give the right to acquire or vote the referenced shares.

3.4.16 Single stock future

Argentine law does not expressly address substantial shareholding disclosure of single stock future and it is unclear whether they would be considered comparable to options (in which case disclosure is required at the time of acquisition or sale and on exercise but not on settlement) or to convertible debt securities (where disclosure is required only upon conversion). Advice should be sought on a case by case basis.

3.4.17 Subscription rights

- (a) The right to subscribe for new shares which have been provisionally allotted by an issuer to a shareholder, for example nil paid rights in connection with a rights issue, which are subject to the payment of a subscription price, will not require disclosure as the shares have not yet been issued. A disclosure will arise on the issue of the shares (Section 99 (g) of the Capital Markets Law, as supplemented by Section 12, Chapter I, Title XII of the CNV Rules).
- (b) The right to apply for new additional shares given to existing shareholders on an open offer of shares by an issuer will not require disclosure as the shares have not yet been issued. A disclosure will arise on the issue of the shares (Section 99 (g) of the Capital Markets Law, as supplemented by Section 12, Chapter I, Title XII of the CNV Rules).

3.4.18 ETFs

Argentine law does not expressly address substantial shareholding disclosure to ETFs. Therefore the unitholder/shareholder of an ETF does not have a disclosure obligation because the holding of shares or units in the ETF is not caught by the disclosure regime in Argentina. In addition the unitholder/shareholder of an ETF does not have a disclosure obligation in respect of the underlying assets held by the ETF.

3.5 Are the following characteristics of a security relevant in determining whether it is caught by the Disclosure Regime?

3.5.1 Cash settled v. physically settled

The disclosure regime for substantial shareholders focuses on physically-settled transactions only. Cash-settled equity derivatives are not caught by the regime (Section 99 (g) of the Capital Markets Law). For example : (i) a contract for difference (CfD), where the parties agree to pay in cash to the other the change in the price of specified shares which would be caught by the disclosure regime, would not itself be caught by the disclosure regime or (ii) a single name equity swap, where parties agree to exchange future cash flows over a specified term, where one leg is linked to the change in price of securities which would be caught by the disclosure regime and the other leg is linked to a fixed or floating interest rate. Note that for the purposes of this Memorandum we assume that there would be no ability to physically settle the CfD or single name equity swap or use voting rights of the underlying securities and intention to converting from a cash-settled equity transaction to a physically settled transaction.

3.5.2 Issued v. unissued

The disclosure regime relating to substantial shareholders only captures issued voting shares, including shares resulting from the actual conversion of convertible debt instruments⁴⁶.

3.5.3 Place of incorporation of the issuer

The securities of any Argentine or foreign issuer admitted to the public offer in Argentina, regardless of the place of incorporation, are covered by the substantial shareholding disclosure obligations.

3.5.4 Shareholder's intent

The substantial shareholder's intention in respect of its holding may affect the disclosure obligation⁴⁷. In this regard, at the time of disclosing an event which is subject to the substantial shareholding disclosure requirements, should the person making such disclosure additionally changes its intention with regard to its then current holding in the public issuer (i.e. the acquisition of a larger shareholding, gaining control of the public issuer, selling its shareholding partially or totally, etc), disclosure of such change of intention has to be made.⁴⁸ Should the shareholder change its intention between disclosable events, a separate disclosure for a change of intention to future actions is not required. The change of intention would be notified in the notification for disclosure of the next share acquisition.

⁴⁶ Section 99 (g) of the Capital Markets Law, as supplemented by Section 12, Chapter I, Title XII of the CNV Rules.

⁴⁷ Section 12, Chapter I, Title XII of the CNV Rules includes the following actions to illustrate the concept of "intention": the acquisition of a larger shareholding, to gain control of the public issuer, to sell its shareholding partially or totally and/or any other purpose.

⁴⁸ For instance, if A, at the time of acquiring 5% of shares of B, has the intention to make additional purchases of shares issued by B, A is obliged to inform such intention to the CNV.

4. Aggregation

4.1 Introduction

This section highlights the rules which require the interests of others to be aggregated with the interests of the substantial shareholder for the purposes of determining whether a disclosure obligation arises. Such principles are not expressly contained in the law and derive from a comprehensive construction of the substantial shareholding disclosure rules.

4.2 Controlled Undertakings

The shareholdings of undertakings which are controlled by the substantial shareholder (**controlled undertakings**) or related to a substantial shareholder (**related undertakings**) must be aggregated with those of the substantial shareholder. This covers not only the holding of publicly offered shares but also of debt securities (including convertible debt securities at the point of conversion) and any put or call options on shares or debt securities (including convertible debt securities).

Argentine law does not contain a list of what are regarded as controlled undertakings or related undertakings. However, a reference to “control” is made in Section 2 of the Capital Markets Law, as mentioned in A.1.1 above. “Controlling company or controlling group” means an individual or legal entity which holds, either directly or indirectly, individually or jointly, as the case may be, an interest in the capital stock or securities which grant the votes that are required to prevail in the company’s decisions at shareholders meetings (e.g. representing more than 50% of the voting rights), or to appoint or remove a majority of the members of the board of directors or surveillance committee of such public issuer.

4.3 Aggregation within Corporate Groups

- (a) Disclosures must be made by the parent of the holdings of it and each company which comprises a controlled undertaking on an aggregated basis and it is required that each company within a chain of controlled undertakings makes a disclosure⁴⁹.
- (b) A majority share ownership of a company (i.e. more than 50% of the voting shares) or the ability to exercise control of that company in any other way is sufficient to result in that company being regarded as a controlled undertaking for the purposes of the aggregation rules. Aggregation of interests is required down a "chain" of controlled undertakings for so far as the chain remains unbroken.
- (c) Where the % ownership between a parent and its subsidiary is less than 100% (but sufficient to require aggregation of the subsidiary's interests with that of the parent), the entire holding of the subsidiary is counted.

4.4 Branches and Business Units

If different branches or business units of a legal entity hold shares in a company then the holdings of those various branches/business units must be aggregated, irrespective of whether those branches/business

⁴⁹ See footnote 2.

units are located in different jurisdictions. This derives from the concept of “control” mentioned in A.4.2 above and no specific reference to this issue is made in the regulation.

4.5 Concert Parties

The voting rights of members of a concert party must be aggregated for the purposes of the disclosure rules. For example, in the case of the disclosure threshold, if the parties' aggregated voting rights in a company's shares are over the 5% disclosure threshold, or if there is a subsequent movement in the parties' aggregated voting rights each member of the concert party will have to make a disclosure even if its own (non-aggregated) interests are under the relevant threshold.⁵⁰

4.6 Aggregation and Disclosure of Discretionary Managed Holdings

- (a) Please see Appendix 1 (Aggregation and Disclosure of Discretionary Managed Holdings) to this Memorandum for disclosure and aggregation analysis in respect of specific discretionary management scenarios.
- (b) If the investment manager has a disclosure obligation in respect of the holding managed by it (e.g. if the investment manager holds legal title, or otherwise as described in the Appendix), and forms part of a larger corporate group, the obligation to disclose the holdings managed by the investment manager remains with the investment manager and the manager's parent undertaking is also required to aggregate and disclose such holdings.

4.7 Aggregation and Disclosure of Non-Discretionary Managed Holdings

- (a) The investment manager is required to aggregate and disclose interests which it manages on a non-discretionary basis (execution only mandate) where it has legal title to the securities it manages, even though all the investment decisions are taken by the client.
- (b) The investment manager is not required to aggregate or disclose interests which it manages on a non-discretionary basis (execution only mandate) where it does not have legal title to the securities. In this case, any disclosure obligation rests with the legal owner of the securities (subject to the clarification provided in A.3.3.2(a)(ii) above regarding securities held by a custodian).

Save as set out in paragraphs 4.1 to 4.7 above, there are no other aggregation rules within the substantial shareholder disclosure rules in Argentina.

4.8 Exemptions from the Aggregation Principle

There are no exemptions from the aggregation principle in the cases described above.

⁵⁰ Section 99 (g) of the Capital Markets Law, as supplemented by Section 12, Chapter I, Title XII of CNV's Rules. In addition, Section 2 of the Capital Markets Law defined “concerted action” as “the coordinated action of two (2) individuals under a formal or informal agreement for the purpose of cooperating actively to purchase, hold or dispose of any shares or other convertible securities or interests in an entity whose securities have been authorized for public offer, whether acting through any such individuals, any companies or other associations in general, or through other persons related to or controlled by such entity, or individuals holding voting rights on behalf thereof”.

5. Exemptions

The holdings of an entity may be fully or partially exempt from the disclosure requirements depending on the capacity in which that entity holds the securities. Such principles are not expressly contained in the law and derive from a comprehensive construction of the substantial shareholding disclosure rules.

Under Argentine law there are no full or partial capacity-based exemptions.

5.1 Principal/Proprietary

There is no exemption for an entity which holds securities as part of its proprietary business i.e. proprietary trading for that entity's own account.

5.2 Custodian

Even when there is no exemption for an entity which holds securities in its capacity as custodian, the CNV has construed that the person obliged to disclose securities position is the beneficial owner, rather than the custodian – see A.3.3.2(a)(ii).

5.3 Nominee

There is no exemption for an entity which holds securities in its capacity as discretionary or non-discretionary nominee. Notwithstanding, the CNV stated in a specific case that the person obliged to disclose securities position is the beneficial owner, rather than the custodian – see A.3.3.2(a)(iii). Since the role of a nominee is similar to that of a custodian, it may be construed that an entity which holds securities as non-discretionary nominee does not have to comply with disclosure requirements – see A.3.3.2(a)(iii). However, as the date hereof we are of the opinion that this exception is applicable only to custodians as discussed on A.3.3.2(a)(ix) and A.3.3.2(a)(x).

5.4 Stock Borrowing/Lending

There is no exemption for either the lender or the borrower of securities under a stock lending or repo transaction.

5.5 Collateral Taker

Outright transfer: There is no exemption for an entity which takes collateral over securities as part of an outright transfer of other securities to a client under a stock lending or repo transaction.

Security interest: For collateral transferred by way of security interest, the collateral taker is not obliged to disclose an acquisition and should not include the securities in its numerator

5.6 Collateral Giver

Outright transfer: There is no exemption from disclosing a disposal for an entity which gives collateral over securities on the basis that the collateral over the securities is in the form of an outright transfer of

legal title to the shares as part of an outright transfer of other securities to a client under a stock lending transaction.

Security interest: Where collateral is in the form of a security interest over securities, such as a mortgage, charge or pledge, the collateral giver should not treat this as a disposal and should continue to include the securities in its numerator. Refer to Section A.3.3.2 above.

5.7 Underwriting

5.7.1 Underwriting agreement

There is not an exemption for an underwriter's obligation to acquire shares pursuant to an underwriting agreement (whether in relation to a new issue or a placement of existing shares). The underwriter's obligation to acquire shares pursuant to an underwriting agreement is a notifiable interest, only in the limited scenario where it already holds shares in that issuer which were disclosable and because it now has a right to acquire further shares in the underwriting, it must make a further disclosure because its intention has changed.

5.7.2 Acquisition of shares pursuant to an underwriting agreement

There is not an exemption for an underwriter that acquires shares pursuant to an underwriting obligation.

5.8 Investment Manager

(a) Discretionary investment manager

There is no exemption for an entity which is interested in securities in its capacity as a discretionary investment manager provided it holds legal title to the securities. If the investment manager does not have legal title to the shares, it is not subject to a disclosure obligation, even if the investment manager has full discretion over the voting and disposition of the shares (unless the securities are held by a custodian and the investment manager issues voting instructions to the custodian - please refer to the Appendix 1 (*Aggregation and Disclosure of Discretionary Managed Holdings*) for further details).

(b) Non-discretionary investment manager

There is no exemption for an investment manager in relation to securities it manages on a non-discretionary basis provided it holds legal title to the securities. Even when a non-discretionary investment manager does not have any control over the voting rights attached to the securities within the portfolio (receives instructions from the beneficial owners of the securities), if it has legal title to such securities it has a notifiable interest. All buy, sell and hold decisions are made by the client (execution only mandate). The investment manager is not required to aggregate or disclose interests which it manages on a non-discretionary basis (execution only mandate) where it does not have legal title to the securities.

5.9 Fund Manager

There is no exemption for an entity which holds securities in its capacity as fund manager.

5.10 Others

There are no other specific exemptions from the substantial shareholder disclosure rules, which arise from Argentine law.

5.11 Shareholder Location

The rules apply to any person anywhere who trades the prescribed securities on the relevant markets. It does not matter where the shareholder is located. Such principle is not expressly contained in the law and derives from a comprehensive construction of the substantial shareholding disclosure rules.

The disclosure obligations have extra-territorial effect and override foreign confidentiality. The recognition of the disclosure rules by the foreign jurisdiction concerned is not dealt with here.

5.12 Confidentiality and Information Barriers

Disclosure is mandatory, regardless of whether a shareholder is restricted by bank secrecy, a confidentiality agreement or information barrier from making disclosure.

6. Transactions

6.1 Spot Contracts to Acquire or Dispose of Shares

6.1.1 Disclosure by the buyer

- (a) **Entry:** although on entry into the spot contract the buyer does not yet have legal title to, nor beneficial interest in the unspecified shares to be bought and, at this point, the buyer does not have any control over the voting of the shares to be bought, the buyer, nevertheless, has to comply with the substantial shareholding disclosure obligations at the moment the spot contract for the acquisition is entered into.
- (b) **Settlement:** on settlement of the spot contract, the legal title is transferred from the seller to the buyer. At this point, the buyer has full rights over the shares. However, as disclosed on the point on entry, there is no need to disclose again.

6.1.2 Disclosure by the seller

- (a) **Entry:** although on entry into the spot contract the seller still has legal title to, or beneficial interest in the unspecified shares to be sold and, at this point, the seller still has control over the voting of the shares to be sold, the seller, nevertheless, has to comply with the substantial shareholding disclosure obligations at the moment the spot contract for the sale is entered into.
- (b) **Settlement:** on settlement of the spot contract, the legal title and voting rights pass from the seller to the buyer. However, as disclosed on the point on entry, there is no need to disclose again.
- (c) The principles applicable to A.6.1.1 and A.6.1.2 are not expressly contained in the law and derive from a comprehensive construction of the substantial shareholding disclosure rules.

6.2 Call Option: Physically-Settled

6.2.1 Disclosure by the buyer of the call option

- (a) **Entry:** the law requires compliance of the substantial shareholding disclosure requirement upon the entry into the call option, regardless of the buyer having a future right to receive the shares subject to the call option and also regardless of the fact that the buyer does not yet hold legal title to the shares, nor has any control over the voting rights attached to them.
- (b) **Exercise:** the law requires compliance of the substantial shareholding disclosure requirement also on exercise of the call option, regardless that the buyer has an immediate right to receive the shares but still does not have control over the voting rights attached to them.
- (c) **Settlement:** the law requires disclosure upon entry and also upon exercise of a physically-settled call option, but not upon settlement.
- (d) **Lapse:** the law does not specifically require disclosure on lapse of the call option, when there is no change in the percentage holding of voting rights over the shares.

6.2.2 Disclosure by the seller of the call option

- (a) **Entry:** the law requires compliance of the substantial shareholding disclosure requirement upon the entry into the call option, regardless of the seller still retaining the legal title to the shares and having full voting control over the shares.
- (b) **Exercise:** the law requires compliance of the substantial shareholding disclosure requirement also on exercise of the call option, regardless that the seller still retains the legal title to the shares and still has full voting control over the shares.
- (c) **Settlement:** the law requires disclosure upon entry and also upon exercise of a physically-settled call option, but not upon settlement.
- (d) **Lapse:** the law does not specifically require disclosure on lapse of the call option, when there is no change in the percentage level of voting shares held by the seller.

6.3 Call Option: Cash-Settled

6.3.1 Disclosure by the buyer of the call option

- (a) **Entry:** the disclosure regime does not capture cash-settled equity derivatives.
- (b) **Exercise:** the disclosure regime does not capture cash-settled equity derivatives.
- (c) **Settlement:** the disclosure regime does not capture cash-settled equity derivatives.
- (d) **Lapse:** the disclosure regime does not capture cash-settled equity derivatives.

6.3.2 Disclosure by the seller of the call option

- (a) **Entry:** the disclosure regime does not capture cash-settled equity derivatives.
- (b) **Exercise:** the disclosure regime does not capture cash-settled equity derivatives.
- (c) **Settlement:** the disclosure regime does not capture cash-settled equity derivatives.
- (d) **Lapse:** the disclosure regime does not capture cash-settled equity derivatives.

6.4 Put Option: Physically-Settled

6.4.1 Disclosure by the seller/writer of the put option

- (a) **Entry:** the law requires compliance of the substantial shareholding disclosure requirement upon the entry into the put option, regardless of the seller of the option not having control over when or if the option will be exercised and the shares delivered to it and also regardless of the fact that the seller of the option does not yet have legal title to the shares, nor control over the voting rights attached to the shares.
- (b) **Exercise:** the law requires compliance of the substantial shareholding disclosure requirement also on exercise of the put option, regardless of the seller having an immediate right to receive the shares but still not control over the voting rights.
- (c) **Settlement:** the law requires disclosure upon entry and also upon exercise of a physically-settled put option, but not upon settlement.
- (d) **Lapse:** the law does not specifically require disclosure on lapse of the put option, when there is no change in the percentage level of voting shares held by the seller.

6.4.2 Disclosure by the buyer of the put option

- (a) **Entry:** the law requires compliance of the substantial shareholding disclosure requirement upon the entry into the put option, regardless of the buyer having a future conditional right to sell the shares. The buyer of the option still retaining the legal title to the shares and having full voting control over the shares.
- (b) **Exercise:** the law requires compliance of the substantial shareholding disclosure requirement also on exercise of the put option, regardless of the buyer still retaining the legal title to the shares and still having full voting control over the shares.
- (c) **Settlement:** the law requires disclosure upon entry and also upon exercise of a physically-settled put option, but not upon settlement.
- (d) **Lapse:** the law does not specifically require disclosure on lapse of the put option, when there is no change in the percentage holding of voting rights over the shares.

6.5 Put Option: Cash-Settled

6.5.1 Disclosure by the seller/writer of the option

- (a) **Entry:** the disclosure regime does not capture cash-settled equity derivatives.
- (b) **Exercise:** the disclosure regime does not capture cash-settled equity derivatives.
- (c) **Settlement:** the disclosure regime does not capture cash-settled equity derivatives.
- (d) **Lapse:** the disclosure regime does not capture cash-settled equity derivatives.

6.5.2 Disclosure by the buyer of the option

- (a) **Entry:** the disclosure regime does not capture cash-settled equity derivatives.
- (b) **Exercise:** the disclosure regime does not capture cash-settled equity derivatives.
- (c) **Settlement:** the disclosure regime does not capture cash-settled equity derivatives.
- (d) **Lapse:** the disclosure regime does not capture cash-settled equity derivatives.

7. How to make a Disclosure

7.1 Timing of Disclosure

(a) Substantial Shareholders

Disclosure must be made within 10 business days after the occurrence of the event involving 5% or more of the voting rights of the applicable public issuer. Subsequent disclosures must be made within 10 business days of the occurrence of subsequent changes reaching multiples of 5% in holdings, until such person becomes the controlling shareholder of the public issuer. Disclosure must be made (i) electronically via the portal by downloading the relevant forms and filling out the Affidavit (“Declaración Jurada de Tenencia Accionaria”) on the link provided in the ‘Useful Links’ section of the Rulefinder report,⁵¹ and to the relevant exchange (for example for the BYMA the filing should be addressed to mesadeentradas@labolsa.com.ar) or (ii) by filing hard copy of the notice with the exchange during applicable business hours (i.e. Monday to Friday, from 10:00 AM to 03:00 PM, Buenos Aires time).

Pursuant to Section 100 of the Capital Markets Law, the disclosure shall be made simultaneously to those markets in which the securities involved in the disclosure are listed. In the event where the securities are not listed in any market, disclosure of the event shall be considered fulfilled by the publication for one day in a newspaper of national circulation. The person making said

⁵¹ Should the affidavit be signed by an attorney-in-fact, the disclosure shall include a power of attorney granted by the legal entity or individual making the disclosure. The power of attorney shall be filed in compliance with the legal authentication requirements of the country of origin (e.g. stamped by a notary or any other authentication requested in the country of origin of the shareholder), including legalisation by means of the Hague Apostille in the case of entities organized and/or registered in countries adhering to “The Hague Convention of 1961 Abolishing the Requirement of Legalisation for Foreign Public Documents” or legalised by the Ministry of Foreign Affairs, Trade and Worship and translated into Spanish, if in another language, by a certified sworn translator, with signature certified by the relevant professional association or entity.

publication shall file with the CNV a copy of said publication. The regulation is silent regarding the period of time for making this filing.

Controlling stake affected: no precise timing reference is contained in the applicable regulation. However, due to its magnitude, it is reasonable to construe that the “immediate disclosure” rule should apply, in line with the public issuer’s separate obligation to immediately disclose a change of control in such company. Same procedure as described in the preceding paragraph (filing of hard copy of the notice) applies. Pursuant to Section 100 of the Capital Markets Law, the disclosure shall be made simultaneously to those markets in which the securities involved in said disclosure are listed. In the event where the securities are not listed in any market, the communication of the event shall be understood to be fulfilled by the publication for one day in a newspaper of wide national circulation. The person making said publication shall file with the CNV a copy of said publication. The regulation is silent regarding the period of time for making this filing.

(b) Issuer’s Members And Controlling Shareholders

The initial disclosure must be made within ten (10) calendar days of them taking office and, in the case of controlling shareholders, the day following the transaction resulting in them becoming the controlling shareholders. Every such disclosure must be updated within the first fifteen (15) calendar days of each month. Except in the case of controlling shareholders, the monthly updates must be continued for the six months subsequent to their ceasing in the applicable position. In practice, such disclosure is made by the public issuer (as further explained in A.7.2 below) through the electronic platform available on the CNV website, which is available 24 hours a day. Pursuant to Section 100 of the Capital Markets Law, the disclosure shall be made simultaneously to those markets in which the securities involved in the disclosure are listed. In the event where the securities are not listed in any market, the communication of the event shall be understood to be fulfilled by the publication for one day in a newspaper of wide national circulation. The person making said publication shall file with the CNV a copy of said publication. The regulation is silent regarding the period of time for making this filing.

(c) Regulators, rating agencies and others

Disclosure should be made within the time frame described in the preceding paragraph, and except for regulators (who usually file hard copy of the notice with the CNV), members of markets and rating agencies make the filing electronically.

(d) Relevant events

Disclosure should be made immediately after the occurrence of the relevant event or of such persons becoming aware of the same. Filing has to be made through electronic platform available on the CNV website. In addition, disclosure should be made to markets in which the securities involving in the disclosure are traded.

Please also see A.1.1(f) for details of additional one-off disclosure required to the issuer when an entity becomes a shareholder holding more than 5%.

7.2 Person making the Disclosure

In principle, disclosure is the responsibility of each person who acquires or disposes of a disclosable holding.

In the case of issuer's members and controlling shareholders, although the persons on which the disclosure obligations are bound are responsible for making the disclosure, in practice such disclosure is performed by the duly appointed officer of the issuer (*Responsable de Relaciones con el Mercado*) through electronic platform available on the CNV website.

Although not specifically contemplated in the law, disclosure can be made by a proxy holder on behalf of a shareholder. In such case, the proxy holder must file a simple copy of the proxy and an affidavit on the validity of such proxy.

There are no express provisions for common notifications.

7.3 Disclosure Forms

Except for the filing of relevant events by a public issuer as mentioned in A.1.1(e) above, standard disclosure forms are available and should always be used. The disclosure forms are available on the CNV electronically by downloading the relevant forms and filling out the Affidavit ("*Declaración Jurada de Tenencia Accionaria*") on the link provided in the 'Useful Links' section of the Rulefinder report.— see the Useful Links section of the Rulefinder report for the website. In the event where the holding must be published in a newspaper of national circulation, the publication shall be made by each person who acquires or disposes a disclosable holding. The person making said publication shall file with the CNV a copy of said publication. The regulation is silent regarding the period of time for making this filing.

7.4 Making the Disclosure

Disclosure must be made (i) electronically by downloading the relevant forms and filling out the Affidavit ("*Declaración Jurada de Tenencia Accionaria*") on the link provided in the 'Useful Links' section of the Rulefinder report and to the relevant exchange (for example for the BYMA the filing should be addressed to mesadeentradas@labolsa.com.ar) or (ii) by filing hard copy of the notice with the exchange during applicable business hours (i.e. Monday to Friday, from 10:00 AM to 18:00 PM, Buenos Aires time)

When disclosure is to be made by filing a hard copy of the notice, it must be made to the exchange at its domiciles (in the case of BYMA, 25 de Mayo 359, second floor, Buenos Aires, Argentina (Mesa de Entradas).

The disclosure must be made in Spanish and cannot be made in English or any other languages.

The disclosure must be submitted by electronic means or written means, as described in A.7.1 above. The disclosure can be made public by the CNV or the relevant exchange. The public issuer must make the disclosure public in the case of A.1.1(e) above. Public disclosures are available – see the Useful Links section of the Rulefinder report for the relevant websites. See A.1.1(f) above for the requirements for making a disclosure to the issuer.

B. Sensitive Industries

This section of the Memorandum:

- highlights any investment restrictions imposed by law, where they exist, on either foreign or domestic purchasers buying the securities of the following industry specific issuers: (i) aviation (passenger and freight); (ii) banking and finance (for example banks, investment firms, insurance companies, exchanges/market operators, crypto firms); (iii) rail; (iv) defence; (v) gaming; (vi) media; (vii) mining; (viii) real estate; (ix) telecoms; (x) utilities (namely, electricity (generation and transmission), gas, nuclear and water); and (xi) any other key sectors with significant investment restrictions (note that, given the wide ranging nature of investment restrictions this ‘other’ category is non-exhaustive);
- is not intended to provide fully comprehensive details of such restrictions how they apply or to give full details of any application procedure for consent or disclosure. Where a subscriber intends to carry out a securities transaction where restrictions may apply, it is encouraged to seek additional separate legal advice;
- summarises any additional disclosure requirements (over and above those which comprise any substantial shareholder disclosure regime set out in Section A of this Memorandum) which apply to **general shareholders** on the basis of a given **specified equity holding threshold**. Other factors may apply which may be relevant to the application of the laws, such as: influence over management; non-threshold control intent; or other actions identified by the relevant rules, which are not the focus of Rulefinder Shareholding Disclosure. Counsel may, but is not required to, include additional information beyond specified equity thresholds on any given regime and any such additional information should be regarded as non-exhaustive and non-comprehensive. Further, any special restrictions which apply to purchasers in respect of merger or competition control are outside the scope of this Memorandum.

1. Restrictions on Investment

1.1 Summary Matrix

Important note: This extraction table is intended to inform subscribers of key concepts relating to specified **equity holding thresholds**. It is an extraction from further details provided in B.1.3: ‘Sector -specific rules’ below, therefore it is necessary to review the table alongside the more detailed information in section B.1.3 and subsequent sections below. Disclosure, approval or notification may be required in circumstances other than as set out in this table or in Section B.1.3, for example where they relate to factors other than equity holding thresholds. Seek advice of counsel on a case-by-case basis.

Aviation

The Aeronautic Code establishes that internal air transport services must only be provided by companies (i) domiciled in Argentina; (ii) whose control and direction are in the hands of individuals with legal domicile in the country⁵²; and (iii) the president of the Board of Directors, managers and at least 2/3 of the directors or managers shall be Argentine with legal domicile in Argentina.

⁵² By virtue of Section 6, subparagraph j) of the Rules to Access to Airlines Markets approved by Decree No. 599/2024, the substantial control of an internal air transport company may be evidenced through the filing of an affidavit signed by legal representative, with an indication of the individual that exercises the substantial control. In case of Non-Argentine residents, the individual shall prove his/her legal domicile in Argentina.

Applicability of restriction	Which sub-industries?	Internal air transport companies.
	Which issuers?	Internal air transport companies.
	Published list of issuers which fall within the restriction? (Y/N)	No.
	Which investors?	Foreign investors.
Type of restriction	Threshold / limit (%)	Majority of shares/ Aggregate foreign ownership not more than 49%.
	Prior approval ? Prior notification ?	No
	Post approval ? Post notification?	No
	Regulatory hard stop (do not cross) (Y/N)?	Yes
	Notify buying above or selling down through a threshold (Y/N)?	No
Calculation	Instruments included in the calculation	n/a
Exemption or aggregation rules	Any express exemption or aggregation rules? (Y/N)	n/a
Banking and finance No restrictions on either domestic or foreign investors other than as set out below regarding investment in exchanges/market operators and crypto firms.		
Applicability of restriction	Which sub-industries?	Exchanges/market operators
		Crypto firms (Virtual Asset Service Provider)

	Which issuers?	Exchanges/market operators ⁵³ : a public issuer registered as a market with the CNV.
	Published list of issuers which fall within the restriction? (Y/N)	Crypto firms (Virtual Asset Service Provider) ⁵⁴ No links available
	Which investors?	Any investors, whether foreign or local
Type of restriction	Threshold / limit (%)	Exchanges: In the event that the public issuer is a market those persons holding equity percentage of 2% or more must inform to the CNV each time there are changes in holding already informed. Crypto firms (Virtual Asset Service Provider): No restrictions on either domestic or foreign investors.
	Prior approval ? Prior notification ?	Exchanges/market operators: No approval. Yes, prior notification is required. In this regard, the disclosure shareholding obligations must be complied with by any person, directly or indirectly, or acting together with (an)other person(s) involving in a transaction of 2% or more of the total voting rights in a public issuer registered as a market with the CNV. Crypto firms (Virtual Asset Service Provider): No approval/No prior notification.
	Post approval ? Post notification?	No.
	Regulatory hard stop (do not cross) (Y/N)?	No
	Notify buying above or selling down through a threshold (Y/N)?	No

⁵³ Section 2 of the Capital Markets Law, Markets is defined as “corporations authorized by the CNV with the main purpose of organizing the transactions involving securities authorized for public offer, any activities related to supplementary thereto and capable of furthering such purpose also being under the jurisdiction of such regulatory body”. The markets authorized by the CNV are as follow: Bolsas y Mercados Argentinos S.A. (“BYMA”) and A3 Mercados S.A. (“A3”).

⁵⁴ Crypto firms are encompassed under the definition of Virtual Asset Service Providers included in Section 4 bis of Law No. 25,246, which are defined as “any individual or legal entity that, as a business, performs one (1) or more of the following activities or operations for or on behalf of another individual or legal entity: i. Exchange between virtual assets and legal tender (fiat currencies); ii. Exchange between one (1) or more forms of virtual assets; iii. Transfer of virtual assets; iv. Custody and/or administration of virtual assets or instruments that allow control over them; and v. Participation and provision of financial services related to the offering of an issuer and/or sale of a virtual asset”. In turn, Section 4 bis of Law No. 25,246 provides that virtual assets are “digital representation of value that can be traded and/or transferred digitally and used for payments or investments. Under no circumstances shall legal tender in the national territory and currencies issued by other countries or jurisdictions (fiat currency) be understood as virtual assets”

Calculation	Instruments included in the calculation	Exchanges/market operators: Voting rights
Exemption or aggregation rules	Any express exemption or aggregation rules? (Y/N)	Exchanges/market operators: the disclosure shareholding obligations must be complied with by any person, directly or indirectly, or acting together with (an)other person(s) involving in a transaction of 2% or more of the total voting rights in a public issuer registered as a market with the CNV. Crypto firms (Virtual Asset Service Provider): No
Defence No restrictions on either domestic or foreign investors.		
Gaming No restrictions on either domestic or foreign investors.		
Media		
Applicability of restriction	Which sub-industries?	Argentine media and communication companies.
	Which issuers? Published list of issuers which fall within the restriction? (Y/N)	Argentine media and communication companies comprise of newspapers, magazines, publishing companies, broadcasting services, production of visual and digital contents, advertising companies, and internet providers. In the particular case of broadcasting companies, no foreign individual can directly purchase stock. No.
	Which investors?	Foreign investors ⁵⁵ .
Type of restriction	Threshold / limit (%)	Aggregate foreign ownership not more than 30% ⁵⁶ .
	Prior approval ? Prior notification ?	No.

⁵⁵ Pursuant to Section 4 of Law No. 25,750, as amended from time to time ("Law 25,750"), foreign investor means: (a) aliens; and (b) companies incorporated in Argentina or abroad of Argentina controlled direct or indirectly by aliens.

⁵⁶ Pursuant to Section 2 of Law 25,750, no more than 30% of the share capital and voting rights of a company in the media sector may belong to non-Argentine residents. This means a foreign investor is freely permitted to acquire shares and voting rights in a company in the media industry provided that the total foreign investment is not more than 30%. A foreign investor will know what the total foreign investment in a media company is through the share register.

	Post approval ? Post notification?	No.
	Regulatory hard stop (do not cross) (Y/N)?	Yes.
	Notify buying above or selling down through a threshold (Y/N)?	No.
Calculation	Instruments included in the calculation	Share capital and voting rights.
Exemption or aggregation rules	Any express exemption or aggregation rules? (Y/N)	Yes: (i) companies owned by foreign investors before July 15, 2003, the date of effectiveness of the Law 25,750, and (ii) transfer or assignment of participations entered into before the date referred to in (i) above, pending approval.
Mining No restrictions on either domestic or foreign investors.		
Rail No restrictions on either domestic or foreign investors.		
Real Estate Acquisition of real estate properties located in a Safety Zone (in general, a 150-kilometre strip of land from the international land border towards the interior of the country and 50-kilometre strip from the sea border) and acquisitions of control over a legal entity that owns a real estate property located in the border area by foreign persons or legal entities requires a prior consent from the Directorate of Border Technical Affairs .		
Applicability of restriction	Which sub-industries?	Foreign Legal entity or natural persons that owns a real estate property located in the border area.
	Which issuers?	Foreign legal entity or natural persons that owns a real estate property located in the border area. ⁵⁷
	Published list of issuers which fall within the restriction? (Y/N)	No

⁵⁷ A legal entity is considered to be foreign if it is: (i) incorporated abroad; (ii) incorporated in Argentina and foreign persons or legal entities incorporated abroad are owners of a majority shareholding or have the number of votes to prevail in the shareholders' meetings; or (iii) incorporated in Argentina, but a foreign entity owns more than 25%.

	Which investors?	Foreign
Type of restriction	Threshold / limit (%)	Acquisitions of control. Control means either majority shareholding or having the number of votes to prevail in the shareholders' meetings.
	Prior approval ? Prior notification?	Yes. Acquisitions of control over a legal entity that owns a real estate property located in the border area by foreign persons or legal entities requires a prior consent from the Directorate of Border Technical Affairs.
	Post approval? Post notification?	No
	Regulatory hard stop (do not cross) (Y/N)?	No
	Notify buying above or selling down through a threshold (Y/N)?	No
Calculation	Instruments included in the calculation	Share capital and voting rights.
Exemption or aggregation rules	Any express exemption or aggregation rules? (Y/N)	No

Telecoms

No restrictions on either domestic or foreign investors.

Utilities

No restrictions on either domestic or foreign investors.

FDI

There is no FDI screening regime.

Upcoming changes

We are not aware of any published upcoming changes to the sensitive industries rules described in this summary table. Note that changes may not always involve prior consultation and the regulator may publish new or updated guidance at any time.

1.2 Foreign Direct Investment Screening Rules

There is no FDI screening regime.

1.3 Sector-Specific Rules

The Argentine securities laws and regulations do not contain any prohibitions or restrictions on the ability of local or foreign investors to hold securities of a public issuer or the need to make any enhanced or special disclosure in connection with an investment in a public issuer belonging to a sensitive industry and, therefore, the general substantial disclosure shareholding obligations mentioned in A.1.1 above shall apply.

However, restrictions may exist for foreign investors in the specific regulatory frameworks applicable to different industries, which may actually go beyond the issue of substantial shareholding disclosure.

Please note that on May 26, 2016, the Argentine Congress passed the Law No. 27,260, which derogates the Law No. 27,181. As a result the National State (through the investment portfolio of the Fondo de Garantía de Sustentabilidad del Sistema Integrado Previsional Argentino (FGS) and the shares participations and equity of companies, where the National State acts as minority shareholder or the Ministry Finances holds shares or equity) may transfer and/or do any other act or action limiting, altering, suppressing or modifying the purpose, ownership, domain or nature, or its proceeds or the purpose of the latter without the previous express authorization of the Congress.

As a general principle, Argentine law recognizes equal rights to Argentine residents and non-residents for purposes of investing in economic activities in Argentina, except for those restrictions or prohibitions which may arise from particular or promotional legal regimes.⁵⁸

Below we provide a brief description of the situation applicable to the following industries according to Argentine law and regulation:

(a) **Aviation**

The Aeronautic Code establishes that internal air transport services must only be provided by companies (i) domiciled in Argentina; (ii) whose control and direction are in the hands of individuals with real domicile in the country; and (iii) the majority of whose shares and votes belong to citizens of Argentina with legal domicile in the country.

There are no legal restrictions on the purchase of listed shares of a listed company in the rail industry.

(b) **Banking & Finance:** (for example financial entities, investment firms, insurance companies, exchanges/market operators, crypto firms)

No legal restrictions exist to the purchase of listed shares of a listed company in the banking and finance industry by reason only of the prospective shareholder being a non-Argentine resident.

Insurance: The current regulation arising from the General Insurance Activity Regulations provides in point 7.2.1. that there is a **post** notification reporting to comply by **the insurance company** within 48 hours of completion of the transfer of shares. The obligation to obtain prior approval from the Argentine Insurance Superintendency in case of transfer of shares of Argentinean insurance companies was derogated. Consequently, the transfer of shares is subject to a post notification obligation, rather than a prior approval from the Argentine Insurance Superintendency. **As this is an issuer obligation and not a shareholder obligation we do not consider it any further in this Memorandum.**

⁵⁸ Argentine Constitution and Law No. 21,382 (as amended)

Exchanges/market operators: Prior notification to the CNV is required from any person, who directly or indirectly, or acting together with (an)other person(s) holds **2% or more** of the total voting rights in a public issuer registered as a market with the CNV and each time there are **any changes** in holding already informed.

Crypto firms (Virtual Asset Service Provider): No legal restrictions exist to the purchase of listed shares of a listed company acting as virtual asset service provider.

(c) **Defence**

No legal restrictions exist to the purchase of listed shares of a listed company in the national defence industry by reason only of the prospective shareholder being a non-Argentine resident. Please, note that most of the companies dedicated to national defence are state-owned. In 2009, a defence company, which was privatised in 1995, was nationalised and the law providing for such nationalisation established that in no case shall the National Government dispose of a controlling interest in the same.

(d) **Gaming**

No notifications or disclosures are required.

(e) **Media**

No more than 30% of the share capital and voting rights of a company in the media industry may belong to non-Argentine residents⁵⁹. This means a foreign investor is freely permitted to acquire shares and voting rights in a company in the media industry provided that the total foreign investment is not more than 30%⁶⁰. Pursuant to Section 4 of Law 25,750 foreign investor means: (a) aliens; and (b) companies incorporated in Argentina or abroad of Argentina controlled direct or indirectly by aliens. The current legal and regulatory framework is silent regarding the implications for shareholders if the 30% is breached. Hence, we cannot affirm that the consequence and implications will be the divestment. Media and communication companies comprise newspapers, magazines, publishing companies, broadcasting services, production of visual and digital contents, advertising companies, and internet providers. In the particular case of broadcasting companies, no foreign individual can directly purchase stock.

(f) **Mining**

No legal restrictions exist to the purchase of listed shares of a listed company in the mining industry by reason only of the prospective shareholder being a non-Argentine resident.

(g) **Rail**

No legal restrictions exist to the purchase of listed shares of a listed company in the rail industry by reason only of the prospective shareholder being a non-Argentine resident.

(h) **Real Estate**

Acquisition of real estate properties located in a safety border area (in general, a 150-kilometre strip of land from the international limit towards the interior of the country and 50- kilometre

⁵⁹ Law No. 25,750, section 2.

⁶⁰ A foreign investor will know what the total foreign investment in a media company is through the share register.

strip from the sea limit) and acquisitions of control over a legal entity that owns a real estate property located in the border area by foreign persons or legal entities requires a prior consent from the Directorate of Border Technical Affairs. A legal entity is considered to be foreign if it is: (i) incorporated abroad; (ii) incorporated in Argentina and foreign persons or legal entities incorporated abroad are owners of a majority shareholding or have the number of votes to prevail in the shareholders' meetings; or (iii) incorporated in Argentina, but a foreign entity owns more than 25%.

(i) **Telecoms**

No legal restrictions exist to the purchase of listed shares of a listed company in the telecoms industry by reason only of the prospective shareholder being a non-Argentine resident

(j) **Utilities**

No legal restrictions exist to the purchase of listed shares of a listed company in utilities such as electricity and gas by reason only of the prospective shareholder being a non-Argentine resident.

(k) **FDI**

No general restrictions on foreign direct investment.

Please, note that certain exceptions to the above rules providing for restrictions on ownership may arise from bilateral treaties entered into between Argentina and other countries. A particular analysis of the situation for each country will have to be considered for making an assessment of the rules which apply to each case.

(l) **Other key sectors with significant investment restrictions**

There are no other significant sectors subject to restrictions on investments for the purposes of Section B to this Memorandum.

2. Sanctions for Non-Compliance

Failure to comply with the restrictions will result in:

- (i) **Aviation:** The imposition of monetary sanctions (fines) by the Aviation Authority, pursuant to Decree No. 816/2024
- (ii) **Rail:** The imposition of monetary sanctions (fines) by the Application Authority ("*Agencia de Control de Concesiones y Servicios Públicos de Transporte*")
- (iii) **Banking & Finance:**

Exchange/Market operators: Sanctions described in Section A.1.5 are applicable.

This must be looked at on a case-to case basis

3. How to make a Disclosure

(a) **Aviation**

Not applicable.

(b) **Rail**

Not applicable.

(c) **Banking & Finance**

Exchanges/market operators: No notifications or disclosures are required.

Seek advice on a case by case basis.

Crypto firms (Virtual Asset Service Providers): No notifications or disclosures are required.

(d) **Defence**

Not applicable.

(e) **Gaming**

Not applicable.

(f) **Media**

No notifications or disclosures are required.

(g) **Mining**

Not applicable.

(h) **Real Estate**

Seek advice on a case by case basis.

(i) **Telecoms**

Not applicable.

(j) **Utilities**

Not applicable.

(k) **Others**

Not applicable.

C. Takeovers

1. Enhanced Disclosure Requirements

Argentine law does not contain any enhanced disclosure requirements (over and above those which comprise the substantial shareholder disclosure regime) that apply to shareholders who deal in the securities of a public issuer, whether incorporated in Argentina or not, that is subject to a tender offer.

Any special disclosure requirements that apply to bidders and targets in the context of a takeover are outside the scope of this Memorandum.

Takeover list: There is no publicly available takeover list.

2. Mandatory Bid

On December 27, 2018, the CNV, after having carried out a public consultation procedure for participatory policy formulation, issued General Resolution No. 779/2018, by means of which it established a new regulatory framework for tender offers. The new regulatory framework follows Spanish and European Union regulation and is based on the recommendations of specialized international institutions as well as on the suggestions that were received during the public consultation procedure.

General Resolution No. 779/2018 introduced new definitions of mandatory public tender offers in addition to changes to the procedure for delisting and withdrawal from the public offering regime. It furthermore incorporated a launch notice template and changes to the prospectus template.

General Resolution No. 779/2018 also confirms the elimination of the mandatory partial tender offer in the event of an acquisition of a “significant participation” in the capital stock of a listed company not amounting to an acquisition of a controlling interest in such company. The CNV regulations previously required the acquirer of a “significant participation” of 35% or more of the voting capital of a listed company to launch a partial tender offer for an amount of votes that allowed it to reach at least 50% of the voting capital of such company.

Tender offer: General Resolution No. 779/2018 defines a tender offer as a “market transaction by which a natural person or legal entity, acting individually or in concert with (an) other person(s), offers to acquire and/or exchange shares with voting rights of a listed company, during a pre-established term, and subject to a special procedure of control of the terms and conditions of the offer”.

The tender offer must be made to the shareholders with voting rights, to the holders of subscription rights or options granted by the issuing company on those shares and to the holders of convertible debt securities or other similar securities that may directly or indirectly grant the right to subscribe, and/or acquire negotiable securities, or to convert such shares into shares with voting rights of the issuer.

General Resolution No. 779/2018 furthermore clarifies that the tender offer must include all shares which, at the time of requesting authorization from the CNV to perform the tender offer, have voting rights in accordance with the applicable laws, regulations and by-laws, irrespective of whether such shares had voting rights upon issuance.

Mandatory tender offer due to acquisition of control: Any individual or legal entity with a “controlling interest” in a public company must conduct a mandatory tender offer at an equitable price, as contemplated

by the CNV Rules⁶¹, and the current shareholders of the public issuer may sell their interest in the public issuer. The mandatory tender offer has to include all shares with voting rights subscription rights, options and convertible debt securities or other similar securities that may directly or indirectly grant the right to subscribe, and/or acquire negotiable securities, or to convert such shares into shares with voting rights.

According to Section 87 of the Capital Markets Law, as amended by the Productive Financing Law, a person with a controlling interest in a public company means (i) a person holding, directly or indirectly, a percentage of voting rights of a public company equal to or greater than fifty percent (50%); or (ii) a person holding an interest of less than fifty percent (50%) of voting rights of a public company but acting as a controlling shareholder (being a controlling shareholder any person which directly or indirectly owns, individually or jointly, a participation that grants the necessary votes to form the social will in ordinary shareholders' meetings or to appoint or remove the majority of the members of the board of directors or surveillance committee).

In accordance with abovementioned provisions of the Capital Markets Law, General Resolution No. 779/2018 sets forth that a mandatory tender offer is required in case a controlling interest in a listed company has been acquired:

- (a) through the acquisition of shares or subscription rights or options granted by the issuing company on those shares, through the acquisition of convertible debt securities or other similar securities that may directly or indirectly give the right to subscribe and/or acquire negotiable securities, or the right to convert such shares into shares with voting rights in said issuer;
- (b) through agreements with other holders of securities that, in a concerted manner, grant the necessary votes to form the corporate will in ordinary meetings or to elect or revoke the majority of the Board members or members of the surveillance committee, as well as any other agreement that, with the same purpose, regulates the exercise of the right to vote in the governing body or of to whoever it delegates management. This scenario will be applicable in case the parties to the agreement have acquired the shares with voting rights of the company, acting individually or in concert, within the 12 months prior to entering into the agreement; or in case a new shareholder seeks to forge and signs an agreement with others in order to establish joint control of the target company as a result of its entry as a shareholder. Abovementioned scenario will not apply in case a stake of less than 50% is acquired in a company controlling a listed company if a previous agreement exists to which the new shareholder adheres while occupying the position previously held by the selling shareholder, without modifying the parent company's participation in the affected company; or
- (c) indirectly or as a result of a corporate reorganization process.

Upon acquiring a controlling interest in a listed company such event must be published immediately as a material fact (*hecho relevante*).

The mandatory tender offer must be submitted after acquiring a controlling interest in a listed company, at the latest one month after the date on which controlling interest was acquired, and completed within ninety (90) calendar days as from the date the tender offer becomes mandatory.

Mandatory tender offer due to squeeze-out: Any shareholder holding, directly or indirectly, 95% or more of the capital stock of a public issuer (i) may be required by any minority shareholder to conduct a mandatory tender offer to all the minority shareholders in respect of the residual shares held by the non–

⁶¹ Section 87 of the Capital Markets Law and Section 9, Chapter II, Title III of the CNV Rules.

controlling shareholders⁶²; or (ii) may make an unilateral declaration of acquisition to all minority shareholders in respect of the residual shares held by the non-controlling shareholders⁶³.

Mandatory tender offer due to delisting: Listed companies that resolve to withdraw from the public offering regime are required to make a mandatory tender offer to acquire all their shares, subscription rights and bonds convertible into shares or share options, in accordance with the procedure set out in the Capital Markets Law and General Resolution No. 779/2018.

Exceptions to mandatory tender offers: Section 32 of Chapter II, Title III of the CNV Rules, as amended by General Resolution No. 779/2018, sets out the scenarios where there is no obligation to make a tender offer. The following list contains an overview of these scenarios without indicating all requirements that have to be met, in each specific case, to be excluded from the mandatory tender offer regime:

- (a) Acquisition of control by means of a voluntary tender offer directed at all shareholders with voting rights, to the holders of subscription rights or options granted by the issuing company on those shares and to the holders of convertible debt securities or other similar securities that may directly or indirectly grant the right to subscribe, and/or acquire negotiable securities, or to convert such shares into shares with voting rights of the issuer
- (b) If, in case of indirect acquisition of control, the participation in excess of 50% is sold or offered for sale within thirty (30) days of acquiring control.
- (c) Withdrawal from the Argentine public offering regime by a foreign issuer that was originally listed on a foreign market.
- (d) In case of direct or indirect acquisitions of Argentine law financial trusts (*fideicomisos financieros*).
- (e) Acquisitions in accordance with expropriation laws or made by competent government agencies in accordance with public law.
- (f) In case, by virtue of provisions issued by regulatory bodies with specific competence in the matter at issue, there are limits with respect to the participations that may be reached.
- (g) In case all shareholders unanimously agree to the sale or exchange of all shares representing the capital stock.
- (h) Acquisitions that happen as a consequence of a reorganization or restructuring of economic sectors mandated by the National Government.
- (i) Acquisitions mortis causa.
- (j) Intra-group mergers that do not modify the final beneficiary or final beneficiaries of control.
- (k) Shareholders of entities affected by a merger are exempt from having to launch a mandatory tender offer in case they, directly or indirectly, reach the control threshold as a consequence of the merger, provided that they have not voted in favour of the merger.

⁶² Section 91 (a) of the Capital Markets Law.

⁶³ Section 91 (b) of the Capital Markets Law

- (l) Acquisition of direct control due to a merger among companies whose shares are admitted to the public offering regime.

In all abovementioned scenarios, except for b. and d., the CNV has to be provided with evidence of such scenarios within fifteen (15) calendar days of their occurrence. Subsequently, the CNV grants or rejects the request within fifteen (15) days of gathering all necessary documentation, provided that there are no new requirements by the CNV. In case of rejection of the request, as of the date of the notification of rejection, the rules and terms of mandatory tender offers apply.

Terms and deadlines: The offeror must publish the tender offer prospectus within five (5) calendar days of being notified of the CNV resolution approving the offer. The term granted to investors to accept or reject the offer will be set between a minimum of ten and a maximum of twenty (20) business days. In addition, the offeror may grant an additional term of no less than five (5) business days.

3. Sanctions for Non-Compliance

Upon infringement of the obligation to make a mandatory tender offer, the CNV will order the auctioning of the acquired shares, after having served notice to the obligors. Infringing obligors will also be subject to the penalties provided by the Capital Markets Law. Furthermore, persons in breach the obligation to launch a mandatory tender offer will not be able to exercise the political rights of the acquired shares.

4. Sources of Law

- (a) **Current sources**

General Resolution No. 779/2018

Section 87 of the Capital Markets Law

- (b) **Upcoming changes**

We are not aware of any published upcoming changes to the enhanced takeovers disclosure rules or mandatory bid requirements described in this section C. Note that changes may not always involve prior consultation and the regulator may publish new or updated guidance at any time.

D. Issuer Initiated Disclosure

1. Issuer Requests

There are no rules in Argentina which enable an issuer to require shareholders and other persons who may be interested in the issuer's securities to disclose the nature of their interest.

2. Transparency of Ultimate Beneficial Ownership

In Argentina, transparency of ultimate beneficial ownership is addressed through Sections 24, 25 and 26 of Chapter II, Title II of the CNV Rules, which have been incorporated by CNV General Resolution No. 687 on February 16, 2017. The resolution imposes the obligation on legal entity shareholders, trusts or other legal structures admitted to the public offering regime to inform issuers in detail about their beneficial owners at the shareholder assembly they attend.

Section 24 provides that entity shareholders must inform the issuer about their beneficial owners by providing name, nationality, domicile, date of birth, ID or passport number, Tax ID number or similar, and profession.

According to Section 25, entity shareholders incorporated outside Argentina must provide evidence of their registration pursuant to Section 118 or 123 of General Companies' Law No. 19,550, and the representation must be exercised either by company's legal representative inscribed in the public registry or by a duly empowered attorney-in-fact.

In the case of ownership under a trust or similar structure, Section 26 requires the filing of a certificate that gives proof to the cause of the transfer of assets to such trust or similar structure. Such certificate must also include the name, domicile or legal address, ID number or passport or registration number, authorization or incorporation of the settlor(s), trustee(s) or equivalent, beneficiary of the trust and/or beneficiary or equivalents according to the applicable regulations under which the trust or similar structure has been created, and the agreement and/or evidence of the registration of the agreement with the applicable public registry. If the ownership is in the name of a foundation or similar structure, with a public or private purpose, information about the founder must be provided and, if he/she is a different person, the person who made the contribution or transfer of assets to said entity. In addition, the legal representation must be exercised by the entitled administrator of the assets in case of trusts or similar structures and in other cases by the legal representative or a duly empowered attorney-in-fact.

The CNV may impose a warning to the public issuer, which does not comply with the obligation to disclose data regarding its beneficial owner. We are not aware of the imposition of sanctions by the CNV to public issuer or entity shareholders, due to the infringement of the obligation to disclose ultimate beneficial owner.

3. Sources of Law

(a) Current sources

Sections 24, 25 and 26 of Chapter II, Title II of the CNV Rules,

(b) **Upcoming changes**

We are not aware of any published upcoming changes to the issuer request or ultimate beneficial ownership information requirements described in this section D. Note that changes may not always involve prior consultation and the regulator may publish new or updated guidance at any time.

E. Short-Selling

1. Is there a Ban or Restriction on Short-Selling?

Short-selling transactions were completely banned until January 11, 2018, when the CNV issued General Resolution No. 720/2018 which allows execution of naked and covered short-selling transactions under certain requirements and limitations. The resolution defines short selling as sale transactions of securities⁶⁴ that are either obtained under a securities loan entered into on the same trading day or purchased after the short sale is agreed entered into in the same negotiation day and with the same settlement term.

General Resolution No. 720/2018 establishes that, in order to obtain approval by the CNV, markets have to submit their short-selling regulations to the CNV containing the following minimum guidelines: (i) the eligible securities; (ii) the limits per security, per agent and per client that are admitted in the transaction; and (iii) the regulation of short selling offers as well as the public disclosure regime regarding information on short selling transactions. Likewise, the regulation has to provide mechanisms that assure that the securities obtained under a loan are deliverable in the moment of settlement of the short selling transaction. So far, only the BYMA has submitted such regulation. Other markets may also do so in due course but currently short selling cannot be carried out on markets other than the BYMA and the ban remains in place in such markets (e.g. *Mercado Abierto Electrónico S.A.*, *Mercado a Término de Buenos Aires S.A.*, *Mercado Argentino de Valores S.A.* y *Matba Rofex S.A.*).

Naked short-selling transactions. Naked short-selling transactions are defined as those in which – with the objective of delivering the securities that are the subject of said transaction – the seller has to purchase the securities after the agreement on the initial sale within any of the provided spot deadlines. Therefore, naked short-selling transactions are always spot transactions and cannot last for more than two days – for longer transactions a securities lending agreement is required.

- (a) **Immediate spot transaction:** Transactions that are settled on the same date as the agreement. Such transactions are executed by way of issue of coupons which have to contain the following description “immediate spot transaction”.
- (b) **24 hours spot transactions:** Transactions that are settled within 24 business hours as of the date of their agreement. Such transactions are executed by way of issue of coupons which have to contain the following description: “24 hours spot purchase/sale”.
- (c) **Normal spot transaction or 48 hours spot transaction:** Transactions that are settled within 48 business hours as of the date of their agreement. Such transactions are executed by way of issue of coupons which have to contain the following description: “48 hours spot purchase/sale”.

Covered short-selling transactions. Covered short-selling transactions are defined as those transactions whose objective consists in selling securities that have been obtained under a securities loan on the same trading day. Such transactions are permitted subject to the following requirements:

- (i) They must be carried out through trading systems authorized by the CNV, under Price-Time Priority terms and by crossing of offers, and they have to be guaranteed by the market or the clearing house; the agents authorized to act as market makers are only able to develop their commitments on the Price-Time Priority terms;

⁶⁴ Securities are defined in Section 2 of the Capital Markets Law. See Section A.2.1.1 for further details.

- (ii) The price to trade covered short-selling has to be equal or higher than the price of the last transaction executed on the same market, whereby markets are free to establish exceptions to this rule;
- (iii) The short selling offers have to be individualized in the trading system; and
- (iv) Markets have to submit to the CNV, on a daily basis, information on the nominal size of short-selling transactions executed on each date, as well as the nominal accumulated size for each sort of security, agent and client.

Through Circulars No. 3,574 and 3,575⁶⁵, BYMA announced the incorporation of “short selling” as a new transaction type which shall be governed by best practices and international regulations. Short-selling transactions can be traded on the “millennium platform”, which is used by BYMA, in the secondary trading segment and under Price-Time Priority terms, with collateral management to be provided by BYMA as central counterparty to insure the settlement of these trades on their maturity date.

The uptick rule applies as one of the conditions for short-selling transactions set forth by BYMA. If, from the beginning and during the trading session, the reference price of the securities decreases by more than 5% with respect to the closing price of the previous day, short-selling orders will be subject to the uptick rule up to the closing of the session. In this sense, only transactions where the sale price is equal to or higher than the previous trade can be entered into.

BYMA will provide information on which securities will be traded under short-selling transactions, as well as the initial margin and operative quotas to be fulfilled by the participants. On September 1, 2018, through Communication No. 18,413⁶⁶, BYMA determined certain shares and certain Argentine sovereign bonds to be traded in short-selling transactions (such securities, the “BYMA eligible securities”).

(a) **Does the ban or restriction on naked short selling cover:**

- (i) physical short sales of shares and share like instruments?

The restriction on short selling covers physical short sales of securities –as they are defined in Section 2 of the Capital Markets Law⁶⁷– (“in-scope instruments”) which have not been defined as eligible securities by a market whose short-selling regulations have been approved by the CNV (i.e. BYMA eligible securities).

- (ii) exclusively cash-settled positions taken over the shares?

It is unclear whether the ban on naked short selling includes exclusively cash-settled positions.

As neither the CNV Rules nor the BYMA Rules make reference to cash-settled short positions, we cannot express a definite opinion as to whether such rules apply to cash-settled short positions using instruments such as CfDs or cash settled single name equity swaps.

⁶⁵ CNV approved Circular No 3,575 of the BYMA on April, 12, 2018. See ‘Sources of Law’ section of the Rulefinder report for weblink.

⁶⁶ See ‘Useful Links’ section of the Rulefinder report for weblink.

⁶⁷ See Section A.2.1.1 above for further details.

(b) **Whose securities are caught?**

Securities of any issuer of in-scope instruments that have not been declared as eligible securities by a market whose short-selling regulations have been approved by the CNV. The rules apply regardless of whether the listing is a primary or a secondary listing. Thus, transactions executed off-exchange (“OTC”) or on a trading venue other than markets whose short-selling regulations have been approved by the CNV are banned.

The rules do not consider whether instruments referenced to the eligible securities (i.e. derivatives) are caught by the restriction/rules on covered short selling. Derivatives are not expressly included at this time, and therefore are unlikely to be within scope.

Bear in mind that markets, such as BYMA, have the power to establish or modify, at any time, the conditions for short selling and determine which securities will be eligible for short selling.

(c) **Do the rules and regulations which apply to short selling include short selling of government or government-backed securities?**

Yes. As of the date hereof, certain Argentine sovereign bonds can be short sold.

(d) **Is there an end date for the ban or restriction?**

No.

(e) **Are there any exemptions?**

No.

(f) **Is there a restriction on short selling during a public offer period?**

No.

2. Is there a Disclosure Obligation on Investors who participate in Short-Selling?

No. In Argentina, short-selling transactions must be individualized in the trading system and markets must send to the CNV daily information on the nominal volume of short transactions arranged on each date, as well as the accumulated nominal volume for each security, agent and client. Brokers/agents must also mark spot transactions with the correct determination at the point of order.

3. Sanctions

What are the sanctions for failure to comply with the short-selling ban/restriction/disclosure regime?

There are no specific rules for failure to comply with the short-selling requirements or the disclosure regime. Notwithstanding the aforementioned, the sanctions contemplated under chapter I, title VI of the Capital Markets Law will be applicable.

4. Does the Uptick Rule Apply?

One of the conditions for short-selling transactions set forth by BYMA establishes that if, from the beginning and during the trading session, the reference price of the securities decreases by more than 5% with respect to the closing price of the previous day, short-selling orders will be subject to the uptick rule up to the closing of the session. In this sense, only transactions where the sale price is equal to or higher than the previous trade can be entered into.

5. Sources of Law

(a) **Current sources**

- Capital Markets Law (Law No. 26,831, as amended).
- General Resolution No. 720/2018 of the CNV.
- General Resolution No. 742/2018 of the CNV.
- Circulars No. 3,574 and No. 3,575 of the BYMA.
- Communications No. 17,886 of the BYMA.

(b) **Upcoming changes**

We are not aware of any published upcoming changes to the short selling restrictions or disclosure requirements described in this section E. Note that changes may not always involve prior consultation and the regulator may publish new or updated guidance at any time.

6. How to make a Disclosure

N/A.

APPENDIX 1

AGGREGATION AND DISCLOSURE OF DISCRETIONARY MANAGED HOLDINGS

Enhanced content relating to Section A.4.6 of the Memorandum

ASSUMPTIONS, DEFINITIONS AND SCOPE

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- The scenarios in this Appendix apply to **managed funds** and **managed accounts**.
 - The **managed funds are assumed to be structured as legal entities with separate legal personality**. However, if the analysis would differ for a managed fund that is not structured as a legal entity and has no separate legal personality, this will be addressed in Counsel's response. Note that the disclosure position of the underlying investors in the fund is outside the scope of this Questionnaire.
 - A managed account is a contractual arrangement pursuant to which the manager manages a portfolio of securities belonging to the investor (e.g. pension fund, etc) (the "**account investor**").
 - This is a "plain vanilla" summary of substantial shareholding disclosure requirements only. It does not cover any other notification, consent or disclosure requirements such as "change of control", takeover, foreign investment or short positions. See the rest of this Memorandum for details of these provisions.
 - In each of the scenarios in this Appendix:
 - A **custodian** holds the shares of the funds and the accounts investors in safe keeping.
 - None of the entities referred to in this Questionnaire are controlled undertakings of each other. This Appendix does not address aggregation requirements of any group entities. See the Aggregation section of Part A of this Memorandum for the aggregation rules and exemptions applicable to parent undertakings and their controlled undertakings.
 - The scenarios in this Appendix assume that the investment manager (or another party) either has or does not have voting or investment discretion. In order to apply the Managed Holdings content to their own circumstances, **subscribers must consider the facts** of their particular managed holdings arrangement to assess which parties have voting and/or investment discretion.
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A. MANAGER HAS INVESTMENT AND VOTING DISCRETION

In this scenario, a Manager has both voting discretion and investment discretion over the investments in the managed fund /account.

Summary of aggregation and disclosure rules	
Fund/account level:	Neither the Capital Markets Law nor the CNV Rules include provisions regarding the disclosure and aggregation position at the fund/account level. The substantial shareholding regime is structured on the basis of holding legal title to securities of a public company.

	In this scenario, the custodian holds the securities on behalf of the fund (or the account investor in the case of a managed account) and therefore holds legal title to the securities. However, in a request for clarification filed with the CNV, where a custodian became the registered holder of the securities of a public company in circumstances where such custodian was not entitled to exercise voting rights over such shares, the CNV opined that the obligation to disclose should not be complied by the custodian but by the beneficial holder having an interest in the shares, i.e. the person who would in all cases provide voting instructions to the custodian. See Section A.3.3.2(a)(ix) for details of when this exception may apply The Manager has voting discretion in this scenario and we assume the custodian can only exercise the voting rights attached to the securities in the fund/account under instructions from the Manager. Therefore, the Manager will have the disclosure obligation. If the fund/ account investor does not have legal title to the shares and does not have voting discretion, it will not have a disclosure obligation. This applies regardless of whether the fund has legal personality or not.
Manager level:	As described above, the substantial shareholding regime is structured on the basis of holding legal title to securities of a public company. In this scenario, the custodian holds the securities on behalf of the fund (or the account investor in the case of a managed account) and therefore holds legal title to the securities. However, in a request for clarification filed with the CNV, where a custodian became the registered holder of the securities of a public company in circumstances where such custodian was not entitled to exercise voting rights over such shares, the CNV opined that the obligation to disclose should not be complied by the custodian but by the beneficial holder having an interest in the shares, i.e. the person who would in all cases provide voting instructions to the custodian. The Manager has voting discretion in this scenario and we assume the custodian can only exercise the voting rights attached to the securities in the fund/account under instructions from the Manager. Therefore, the Manager will have the disclosure obligation even though it does not hold legal title to the securities in the fund/account. Disclosure is required at the usual thresholds, (i.e. 5% or more of the total voting rights in such a public issuer and each time there are changes in already disclosed holdings until such person becomes controlling shareholder of the public issuer). Even though the Capital Markets Law and the CNV Rules are silent regarding aggregation of holdings across all funds/accounts managed by a manager, it may be construed that a manager must aggregate holdings across all funds/managed accounts which are managed on a discretionary basis where (i) it holds legal title to the securities within the funds/managed accounts or (ii) a custodian holds legal title but the Manager has voting discretion and provides voting instructions to the custodian. If the investment manager has holdings in securities in any other capacity (e.g. proprietary/trading accounts), those holdings will also need to be included in the calculation of whether a disclosure threshold has been passed. Fund/account crosses a threshold: If the holdings in respect of an individual fund or an account reach, exceed or fall below a disclosure threshold on a standalone basis, in circumstances where the Manager's aggregated holding does not also reach, exceed or fall below a threshold, this will not give rise

	to a disclosure obligation for the Manager or, as mentioned above, for the fund or the account investor. There is no source of law setting out this position. However, this interpretation is based on the fact that the Manager is the one obliged to report upon reaching a threshold. Identification of individual funds in Manager's notification form: The Manager is not required to identify each fund or each account investor (as shareholder) on the standard notification form. The notification form provided by the CNV does not include reference to Manager or the obligation to identify each fund or each account investor.
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B. MANAGER HAS VOTING DISCRETION AND SUB-MANAGER HAS INVESTMENT DISCRETION

In this scenario, a Manager has voting discretion over the investments in the managed fund/account. The Manager has delegated investment (buy/sell) discretion over the investments in the managed fund/account to a separate entity (the **Sub-Manager**).

Summary of aggregation and disclosure rules	
Fund/account level:	The position of the fund/the account investor and the custodian is the same as set out in Scenario A above.
Manager level:	Manager: The position is the same as set out in Scenario A above. Fund/account crosses a threshold: The position is the same as set out in Scenario A above. This applies to the Manager. Identification of individual funds in Manager's notification form: The position is the same as set out in Scenario A above. This applies to the Manager. Sub-Manager: The Sub-Manager does not have legal title to the securities in the fund or account (and does not have voting discretion over securities held by the custodian), so the Sub-Manager is not required to disclose or aggregate the securities in the fund/account over which it has investment discretion. There is no specific source of law setting out this position, it is an interpretation derived from the principle of disclosure attaching to the person having legal title to the securities which grant 5% or more of the total voting rights of a public issuer. See Section 12, Chapter I, Title XII of the CNV Rules.
Does it make a difference to the disclosure position of the Manager and Sub-Manager if the Manager delegates voting discretion and investment discretion over the managed securities to the Sub-Manager?	Manager: If the Manager delegates both voting discretion and investment discretion to the Sub-Manager, the Manager's disclosure position is the same as set out in Manager level above in this Scenario B. Sub-Manager: The Sub-Manager's disclosure position is the same as set out in Sub-Manager level in this Scenario B.

C. MANAGER HAS INVESTMENT DISCRETION AND FUND / INVESTOR HAS VOTING DISCRETION

In this scenario, a Manager has investment discretion over the investments in the managed fund / account. The fund and the account investor retains voting discretion over the investments managed by the Manager.

Summary of aggregation and disclosure rules	
Fund/account level:	Neither the Capital Markets Law nor the CNV Rules include provisions regarding the disclosure and aggregation position at the fund/account level. The substantial shareholding regime is structured on the basis of holding legal title to securities of a public company. In this scenario, the custodian holds the securities on behalf of the fund (or the account investor in the case of a managed account) and therefore holds legal title to the securities. However, in a request for clarification filed with the CNV, where a custodian became the registered holder of the securities of a public company in circumstances where such custodian was not entitled to exercise voting rights over such shares, the CNV opined that the obligation to disclose should not be complied by the custodian but by the beneficial holder having an interest in the shares, i.e. the person who would in all cases provide voting instructions to the custodian. The fund (or the account investor) has voting discretion in this scenario and we assume the custodian can only exercise the voting rights attached to the securities in the fund/account under instructions from the fund or the account investor. Therefore, the fund (or the account investor in the case of a managed account) will have the disclosure obligation, even though it does not hold legal title to the securities. Disclosure is required at the usual thresholds, (i.e. 5% or more of the total voting rights in such a public issuer and each time there are changes in already disclosed holdings until such person becomes controlling shareholder of the public issuer). A fund which is not a legal entity and therefore does not have legal personality, cannot act as holder of securities issued by public companies. Consequently, in this scenario where the custodian holds legal title to the securities and a fund without legal personality has voting discretion, the obligation to disclose a substantial holding is imposed on the legal entity that is responsible for exercising the fund's voting discretion. For instance, the general partner of a partnership or in case of a trust, the trustee. For a detailed consideration of specific fund structures, including other structures not mentioned here, case by case advice should be sought.
Manager level:	The Manager does not have legal title to the securities in the fund or account (and does not have voting discretion over securities held by the custodian), so the Manager is not required to disclose or aggregate the securities in the fund/account over which it has investment discretion. There is no specific source of law setting out this position, it is an interpretation derived from the principle of disclosure attaching to the person having legal title to the securities which grant 5% or more of the total voting rights of a public issuer. See Section 12, Chapter I, Title XII of the CNV Rules.